

US Consumer

US Consumer Tracker (2Q26): Resilient but value seeking consumer amid continued inflation



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The US consumer remains resilient, but value seeking. Despite some moderation, gas prices remain elevated. This has kept CPI elevated at 3.5%+ and led to a further decline in consumer sentiment, with lower income consumers being the hardest hit. However, as unemployment rate is low, consumer spending has been resilient. We expect the inflationary pressure to persist and expect consumers to remain value focused.

In **US Broadlines & Hardlines Retail**, we see **WMT, COST, and dollar stores** as beneficiaries as consumers seek value. Among these, DG and WMT are more exposed to low income consumers, who we expect to remain under pressure. We remain neutral on **home improvement** as potential rate hikes and elevated inflation weigh on sentiment.

Within **Specialty Retail and Discretionary Brands**, we favor names leaning towards the upper end of the "K" — this year we like **TPR** and **TJX**, both seeing share gains and positive revisions but stocks have pulled back. **Sportswear** remains more mixed near-term as softer Q2 demand trends and limited investor appetite for turnarounds continue to weigh on sentiment, though we see attractive longer-term opportunities in several names (e.g., **ADS, ONON** where Sept Investor Days should be catalysts).

For **Restaurants**, the backdrop remains challenging with low income pressure, elevated beef costs, and the Cyclospora outbreak. We favor **DRI** as consumers weigh restaurant steak occasions against soaring grocery beef prices. We stay constructive on **SBUX, CMG, and CAVA** given affluent-consumer exposure and company-specific drivers. In Food Distribution, soft traffic is a modest case-volume headwind, but elevated freight/food inflation reinforces scale advantages at **USFD, PFGC, and SYY**.

For **US Alcohol**, macro poses a headwind, with consumers prioritizing affordability. US beer was meaningfully impacted by higher gas prices in Q2, though we remain constructive on **STZ** (accelerated share gains) and **BUD**. We have limited conviction in **TAP** (weak category growth exposure) and **SAM** (topline uncertainty). Within spirits, we sit on the sidelines for BF (gross margin compression), but like **DEO** over the medium-term (all eyes on August 6th CMD, with special focus on affordability initiatives).

In **U.S. Food**, Q2 saw a meaningful convergence in FAFH vs. FAH inflation. This convergence could weigh on grocery store traffic at the margin. SNAP spending cutbacks are also beginning to have an impact. It may be hard for these companies to absorb yet another round of inflation while consumer price sensitivity remains acute. We favor **MDLZ** and **SJM**, based on favorable overseas and category exposures.

In **US Beverages and HPC**, we continue to see **Beverages** companies as **best-positioned** for capturing growth. While YoY category growth slowed sequentially from ~6% in Q1 to ~4%, growth remained ahead of most other categories. We favor **CELH** and **KDP** based on the strength of their portfolios in Functional Beverages, which are outpacing the overall category. **HPC** slowed down from a more modest base of ~3.5% in Q1 to ~2.5% in Q2, showing more staple-like behavior.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	28 Jul 2026		TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price	Price Target		Cur	2025A	2026E	2027E	2025A	2026E	2027E
COST (Costco)	O	USD	966.58	1,194.00	(12.8)%	USD	18.21	20.64	23.30	53.1	46.8	41.5
DG (Dollar General)	O	USD	125.97	149.00	2.8%	USD	6.85	7.55	8.67	18.4	16.7	14.5
DLTR (Dollar Tree)	M	USD	126.76	124.00	(6.4)%	USD	5.75	7.00	7.82	22.0	18.1	16.2
HD (Home Depot)	M	USD	344.47	346.00	(24.9)%	USD	14.69	14.86	16.15	23.4	23.2	21.3
LOW (Lowe's)	O	USD	218.24	281.00	(21.4)%	USD	12.29	12.69	14.14	17.8	17.2	15.4
TGT (Target)	M	USD	144.20	124.00	19.2%	USD	7.57	8.37	8.43	19.0	17.2	17.1
WMT (Walmart)	O	USD	113.10	145.00	(0.4)%	USD	2.64	3.09	3.60	42.8	36.6	31.4
ADS.GR (adidas)	O	EUR	180.75	245.00	(8.0)%	EUR	7.46	9.71	12.45	24.2	18.6	14.5
ADDYY (adidas)	O	USD	103.37	132.50	(25.5)%	USD	4.21	5.76	7.39	24.6	17.9	14.0
LULU (Lululemon)	M	USD	120.32	145.00	(60.7)%	USD	13.26	11.58	13.17	9.1	10.4	9.1
NKE (Nike)	O	USD	43.05	68.00	(61.9)%	USD	2.10	1.96	2.50	20.5	22.0	17.3
ONON (On Holding)	O	USD	37.89	70.00	(25.6)%	CHF	0.80	1.51	1.88	38.8	20.6	16.5
TPR (Tapestry)	O	USD	150.90	180.00	20.4%	USD	5.10	6.97	7.93	183.3	22.1	19.0
CPRI (Capri Holdings)	M	USD	16.40	24.00	(33.2)%	USD	1.51	2.12	2.50	10.9	7.7	6.6
TJX (TJX)	O	USD	160.80	175.00	12.0%	USD	4.87	5.36	6.02	33.0	30.0	26.7
ROST (Ross)	M	USD	251.03	230.00	62.0%	USD	6.61	7.88	8.51	38.0	31.9	29.5
BURL (Burlington)	O	USD	370.01	365.00	12.2%	USD	9.76	12.19	14.75	37.9	30.4	25.1
PTON (Peleton)	M	USD	6.55	6.00	(13.6)%	USD	(0.30)	0.13	0.31	(21.5)	52.1	21.2
SFIX (Stitch Fix)	M	USD	4.22	6.00	(36.2)%	USD	(0.22)	(0.12)	(0.07)	(18.8)	(34.3)	(58.4)
CAG (Conagra)	U	USD	15.43	12.00	(35.9)%	USD	1.72	1.41	1.43	9.0	10.9	10.8
CPB (Campbell Soup)	U	USD	22.81	18.00	(45.5)%	USD	2.97	2.19	1.88	7.7	10.4	12.1
GIS (General Mills)	U	USD	37.65	31.00	(40.7)%	USD	3.58	3.07	3.18	10.5	12.3	11.9
HSY (Hershey)	M	USD	183.39	208.00	(16.9)%	USD	6.32	8.32	9.75	29.0	22.0	18.8
KHC (Kraft Heinz)	U	USD	27.30	21.00	(19.6)%	USD	2.60	1.97	1.91	10.5	13.8	14.3
LW (Lamb Weston)	M	USD	54.62	57.00	(24.0)%	USD	3.01	3.03	3.39	18.2	18.0	16.1
MDLZ (Mondelez)	O	USD	62.48	74.00	(26.5)%	USD	2.92	3.00	3.24	21.4	20.8	19.3
MKC (McCormick)	O	USD	51.53	68.00	(44.3)%	USD	3.00	3.09	3.44	17.2	16.7	15.0
SJM (SJM)	O	USD	123.04	137.00	(3.1)%	USD	9.15	10.19	11.00	13.4	12.1	11.2
SMPL (Simply Good Foods)	M	USD	10.64	12.00	(83.1)%	USD	1.92	1.66	1.54	5.5	6.4	6.9
TSN (Tyson)	M	USD	61.18	63.00	(1.8)%	USD	4.12	4.03	4.55	14.8	15.2	13.5
STZ (Constellation)	O	USD	129.71	197.00	(39.6)%	USD	11.82	11.69	12.87	11.0	11.1	10.1
TAP (Molson Coors)	M	USD	41.13	45.00	(31.2)%	USD	5.42	4.81	5.35	7.6	8.5	7.7
SAM (Boston Beer)	M	USD	183.60	195.00	(26.4)%	USD	9.89	9.36	10.90	18.6	(29.4)	16.8
BF/B (Brown-Forman)	M	USD	27.40	29.00	(21.3)%	USD	1.53	1.73	1.82	15.1	15.8	15.1
CUERVO*.MM (Cuervo)	O	MXN	15.13	22.30	(36.2)%	MXN	2.41	1.38	1.59	6.3	11.0	9.5
CMG (Chipotle)	O	USD	33.51	50.00	(41.6)%	USD	1.19	1.21	1.43	28.7	29.6	24.0
CAVA (Cava)	O	USD	65.00	95.00	(42.4)%	USD	0.54	0.60	0.86	120.6	108.9	75.3
DPZ (Domino's)	M	USD	350.47	390.00	(42.4)%	USD	17.57	19.06	20.78	19.9	18.4	16.9
DRI (Darden)	O	USD	206.98	230.00	(14.4)%	USD	10.64	11.30	12.24	19.9	18.4	16.9
MCD (McDonald's)	M	USD	273.02	310.00	(25.0)%	USD	12.20	12.47	13.47	22.4	21.9	20.3
YUM (Yum!)	M	USD	150.28	170.00	(12.1)%	USD	6.06	6.53	7.28	26.9	22.7	21.3
QSR (QSR)	O	USD	74.87	95.00	(7.8)%	USD	3.70	4.17	4.51	20.3	17.9	16.6
WING (Wingstop)	O	USD	134.87	220.00	(69.7)%	USD	4.12	4.77	5.40	32.7	28.3	25.0
WEN (Wendy's)	M	USD	7.67	9.00	(42.2)%	USD	0.90	0.59	0.82	9.0	15.4	9.9
DOL.CN (Dollarama)	O	CAD	190.62	231.00	(13.5)%	CAD	4.73	5.31	5.92	40.3	35.9	32.2
FIVE (Five Below)	O	USD	207.99	250.00	29.7%	USD	6.67	9.74	10.04	31.2	21.3	20.7

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

ADS.GR, ADDYY, NKE, TJX, ROST, PTON, SFIX, BF/B, DOL.CN estimate is Reported EPS; ADS.GR, ADDYY, NKE, TPR, TJX, ROST, PTON, SFIX, SAM, CMG, CAVA, DRI, YUM, WEN, DOL.CN valuation is Reported P/E (x); DECK valuation is EV/EBITDA (x); BRBR valuation is EV/EBIT (x); WMT, NKE, CPRI, CAG, GIS, LW, SJM, STZ, BF/B, DRI, DOL.CN, DECK, ELF base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

Ticker	Rating	28 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
USFD (US Foods)	O	USD	101.47	106.00	5.9%	USD	3.98	4.77	5.61	25.5	21.3	18.1
PFGC (PFG)	O	USD	115.53	130.00	(0.1)%	USD	4.48	5.23	6.32	25.8	22.1	18.3
SYF (Sysco)	M	USD	85.20	85.00	(10.2)%	USD	4.46	4.58	4.85	19.1	18.6	17.6
DECK (Deckers)	M	USD	103.92	105.00	(23.8)%	USD	7.02	7.37	8.25	9.7	9.8	9.2
BRBR (BellRing)	M	USD	13.66	9.00	(91.7)%	USD	2.17	1.25	1.41	7.7	9.1	9.3
ABEV3.BZ (Ambev)	M	BRL	15.86	18.30	24.3%	BRL	0.93	1.01	1.20	17.0	15.8	13.2
ABEV (Ambev)	M	USD	3.07	3.60	20.7%	BRL	0.93	1.01	1.20	16.8	15.6	13.1
KO (Coca-Cola Co)	M	USD	88.27	93.00	13.4%	USD	3.01	3.32	3.50	29.4	26.6	25.2
PEP (PepsiCo Inc)	M	USD	142.86	134.00	(15.4)%	USD	8.13	8.44	8.59	17.6	16.9	16.6
KDP (Keurig Dr Pepper Inc)	O	USD	31.08	39.00	(22.0)%	USD	2.05	2.29	2.54	15.2	13.6	12.3
MNST (Monster Beverage)	M	USD	97.74	95.00	46.1%	USD	2.02	2.27	2.61	48.3	43.1	37.4
CELH (Celsius)	O	USD	29.45	44.00	(53.5)%	USD	1.23	1.77	2.13	23.9	16.6	13.9
PG (Procter & Gamble Co)	M	USD	148.88	156.00	(21.5)%	USD	6.83	6.86	7.12	21.8	21.7	20.9
CL (Colgate-Palmolive Co)	M	USD	92.73	96.00	(9.0)%	USD	3.68	3.87	4.09	25.2	24.0	22.7
EL (Estee Lauder Cos Inc)	M	USD	84.75	82.00	(24.7)%	USD	1.52	2.42	3.13	55.8	35.1	27.0
ELF (elf)	M	USD	84.10	60.00	(46.7)%	USD	3.13	3.20	3.52	26.8	26.3	23.9
ABIBB (AB InBev)	O	EUR	73.42	97.00	27.8%	USD	3.67	4.47	4.96	22.8	18.7	16.9
BUD (AB InBev)	O	USD	80.87	111.00	9.5%	USD	3.67	4.47	4.96	22.0	18.1	16.3
DEO (Diageo)	O	USD	85.16	136.00	(31.2)%	USD	6.57	6.77	6.79	13.0	12.6	12.5
DGELN (Diageo)	O	GBp	1,672.00	2,550.00	(14.1)%	USD	1.64	1.69	1.70	13.5	13.1	13.1
SPX			7,428.78									
EDME			--									
EM			--									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

ADS.GR, ADDYY, NKE, TJX, ROST, PTON, SFIX, BF/B, DOLCN estimate is Reported EPS; ADS.GR, ADDYY, NKE, TPR, TJX, ROST, PTON, SFIX, SAM, CMG, CAVA, DRI, YUM, WEN, DOLCN valuation is Reported P/E (x); DECK valuation is EV/EBITDA (x); BRBR valuation is EV/EBIT (x); WMT, NKE, CPRI, CAG, GIS, LW, SJM, STZ, BF/B, DRI, DOLCN, DECK, ELF base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

In US Retailing Broadlines & Hardlines, we rate WMT, COST, DG, DOL, FIVE, and LOW Outperform, we rate HD, DLTR, and TGT Market-Perform.

In US Food, we rate MKC, MDLZ, and SJM Outperform, we rate BRBR, HSY, LW, SMPL, and TSN Market-Perform, and we rate CAG, CPB, GIS, and KHC Underperform.

In US Apparel & Specialty Retail, we rate NKE, ADS, ONON, TJX, BURL, and TPR Outperform, and we rate DECK, LULU, CPRI, ROST, PTON, and SFIX Market-Perform.

In US Restaurants, we rate CAVA, CMG, DRI, PFGC, QSR, SBUX, USFD, and WING Outperform. We rate DPZ, MCD, SYF, WEN, and YUM Market-Perform.

In US Alcohol, we rate CUERVO and STZ Outperform, and we rate TAP, SAM, BF and ABEV Market-Perform.

In Beverages and HPC we rate CELH and KDP Outperform, and we rate KO, PEP, MNST, PG, CL, EL and ELF Market-Perform.

DETAILS

SUMMARY HEATMAP

EXHIBIT 1: Summary of key consumer macro indicators

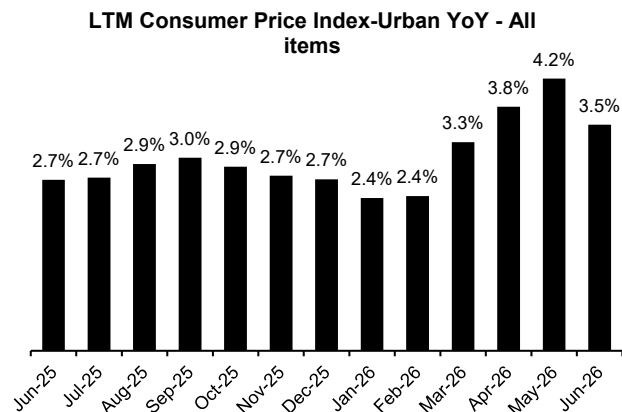
Macro Indicators Scorecard	2Q26	1Q26	4Q25	3Q25	2Q25
Job Market and Consumer Income					
Unemployment rate	YoY flat	YoY flat	YoY increase	YoY increase	YoY increase
Real disposable personal income per capita	YoY increase	YoY increase	YoY increase	YoY increase	YoY increase
Average monthly SNAP benefit per participating household	YoY decrease	YoY decrease	YoY decrease	YoY increase	YoY increase
Interest rate and Consumer Borrowing					
10-Year Treasury yield	Remain elevated	Remain elevated	Remain elevated	Remain elevated	Remain elevated
Consumer credit outstanding	Steady	Steady	Steady	Steady	Steady
CPI - Urban - all items	Inflationary	Inflationary	Inflationary	Inflationary	Inflationary
CPI - Urban - food	Inflationary	Disinflationary	Inflationary	Inflationary	Inflationary
CPI - Urban - food at home	Inflationary	Disinflationary	Inflationary	Inflationary	Inflationary
CPI - Urban - food away from home	Disinflationary	Inflationary	Inflationary	Disinflationary	Inflationary
CPI - Urban - general merchandise	Inflationary	Inflationary	Inflationary	Inflationary	Inflationary
CPI - beer & spirits	Inflationary	Inflationary	Inflationary	Disinflationary	Disinflationary
Average retail gas prices	Inflationary	Inflationary	Deflationary	Deflationary	Deflationary
Population Growth					
US	Sequential decrease	Sequential decrease	Sequential decrease	Sequential decrease	Sequential decrease
Canada	Sequential decrease	Sequential decrease	Sequential decrease	Sequential decrease	Sequential decrease
Consumer Spending					
Personal consumption spending - overall	YoY increase	YoY increase	YoY increase	YoY increase	YoY increase
Durable goods as % of Goods	YoY flat	YoY decrease	YoY increase	YoY increase	YoY increase
Nondurable goods as % of Goods	YoY flat	YoY increase	YoY decrease	YoY decrease	YoY decrease
Services as % of PCE	YoY increase	YoY increase	YoY increase	YoY increase	YoY increase
Consumer Sentiment					
Consumer sentiment	YoY decrease	YoY decrease	YoY decrease	YoY decrease	YoY decrease
Gap between low-income and high-income consumer	Sequential increase	Sequential increase	Sequential decrease	Sequential increase	Sequential decrease
Retail Sales					
Total retail sales	YoY increase	YoY increase	YoY increase	YoY increase	YoY increase
Food private label	YoY flat	YoY increase	YoY increase	YoY increase	YoY increase
Housing Macro					
Mortgage rate	Remain elevated	Remain elevated	Remain elevated	Remain elevated	Remain elevated
HELOC loan rate	YoY decrease	YoY decrease	Steady	YoY decrease	YoY decrease
Housing turnover	Remain low	Remain low	Remain low	Remain low	Remain low
Months' of housing supply	Remain low	Remain low	Remain low	Remain low	Remain low
Home price	YoY increase	Steady	YoY increase	YoY increase	YoY increase
Pro demand	Steady	Sequential decrease	Sequential increase	Sequential increase	Sequential decrease
Home improvement spending (BERN forecast)	0% to +1% in 2H26	0% to +1% in 2026	-1% to +1% in 2026	0% in 2025	0% in 2025

Source: Bernstein analysis

TOP 5 CHARTS

TAX REFUND AND ENERGY INFLATION EXACERBATING A K-SHAPED ECONOMY

EXHIBIT 2: Inflation ticked up to over 4% in May before moderating somewhat...

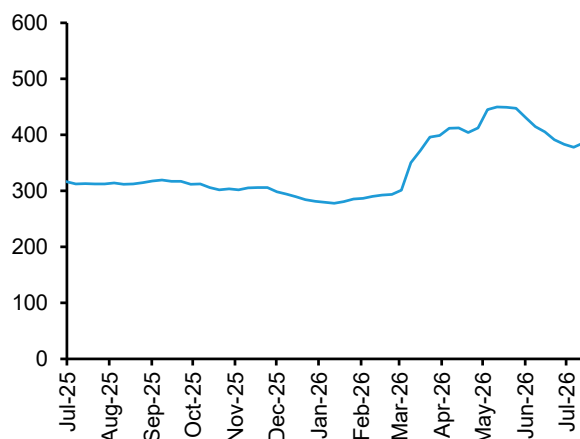


Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 3: ...along with gas prices.

As of July 20, 2026

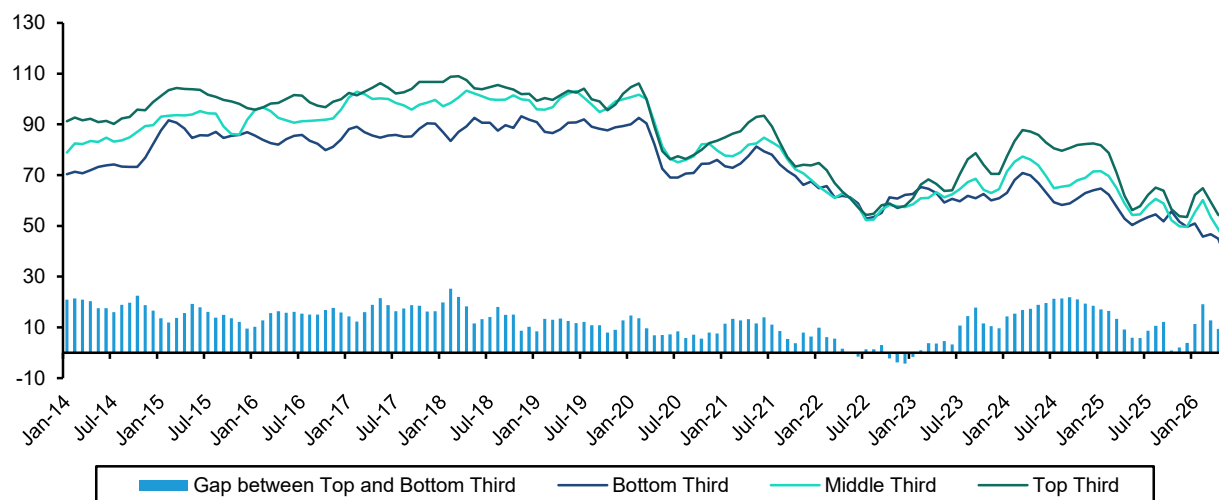
US Average Retail Gas Prices (cents/gal) LTM



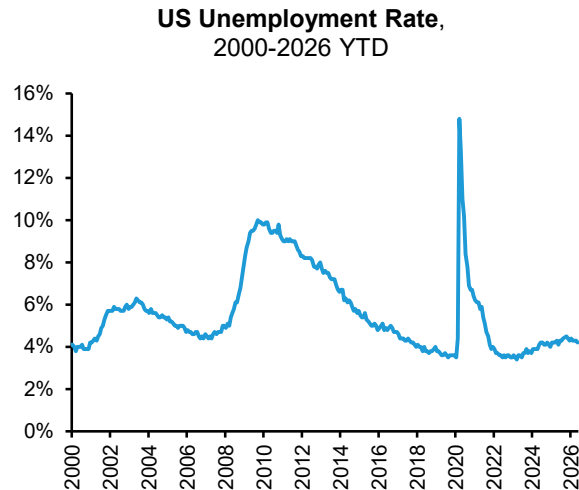
Source: Bloomberg, Bernstein analysis

EXHIBIT 4: As tax-refund effects fade, consumer sentiment from all income declined, with the bottom-third and middle-third consumers experiencing the sharpest drops.

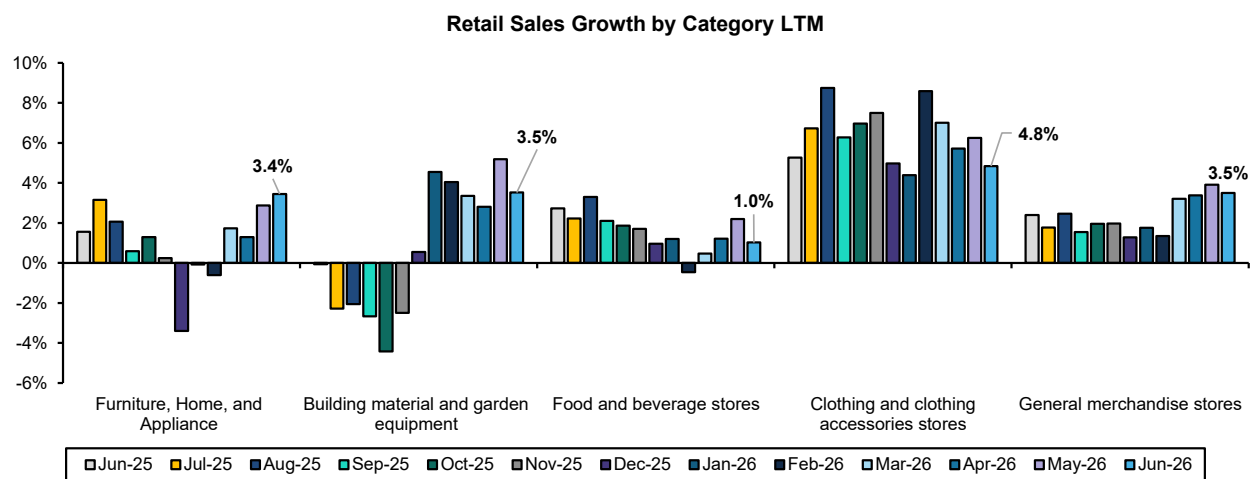
Index of Consumer Sentiment by Income Cohort (Jan 2014 - May 2026)



Source: University of Michigan, Bernstein analysis

EXHIBIT 5: **However, as unemployment rate remains low...**

Source: Bureau of Labor Statistics, Bloomberg, Bernstein analysis

EXHIBIT 6: **Consumer spending has remained largely resilient.**

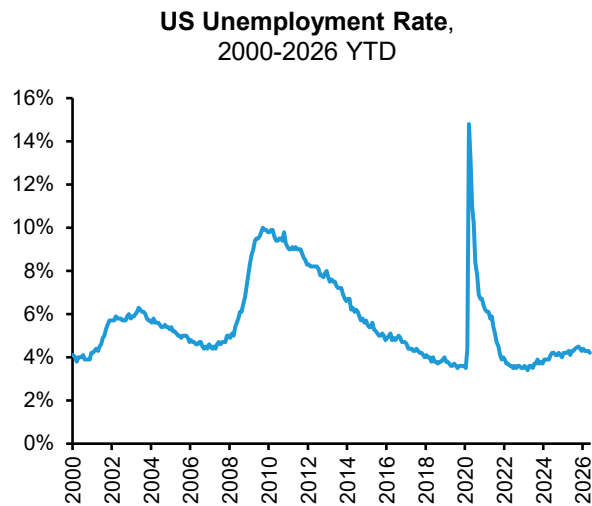
Source: BLS, Bloomberg, Bernstein analysis

HEALTH OF THE US CONSUMER

JOB MARKET AND CONSUMER INCOME

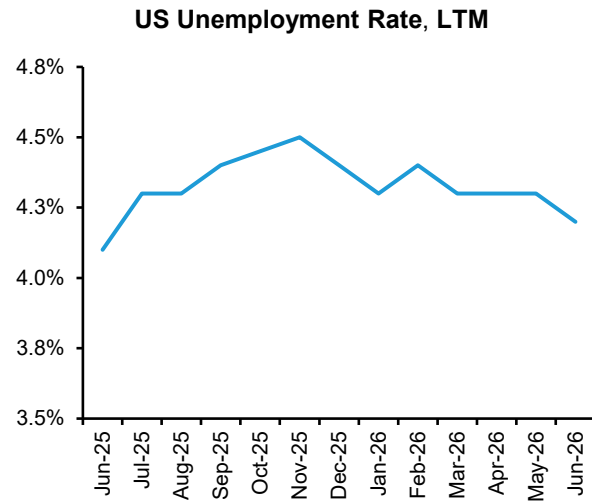
Unemployment Rate

EXHIBIT 7: **US unemployment rate remains low...**



Source: Bureau of Labor Statistics, Bloomberg, Bernstein analysis

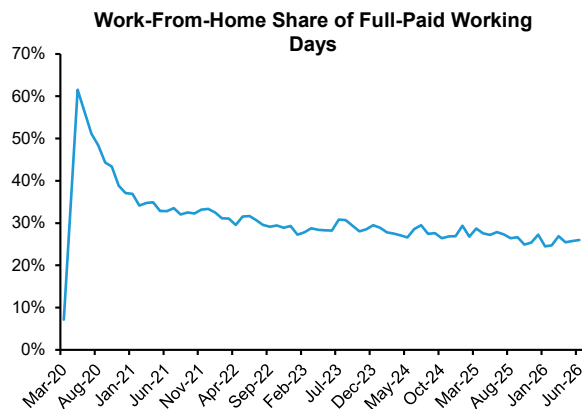
EXHIBIT 8: **...and has been relatively stable for the past 12 months.**



Source: Bureau of Labor Statistics, Bloomberg, Bernstein analysis

Work-from-home

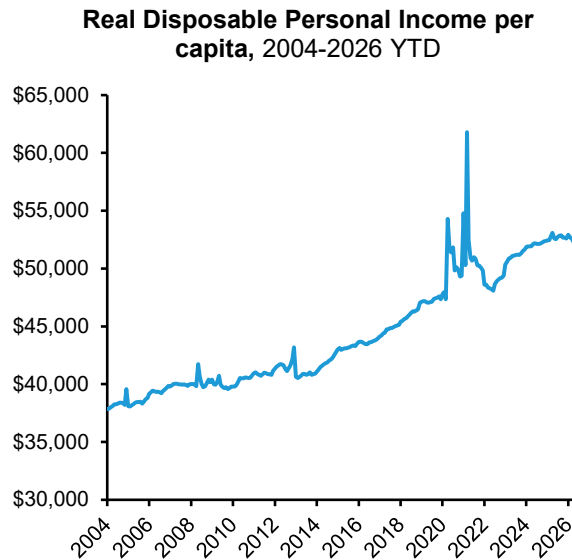
EXHIBIT 9: **Working from home has normalized from the COVID peak, which has implications for food-at-home and home improvement demand.**



Source: Barrero, Jose Maria, Nicholas Bloom, and Steven J. Davis, 2021. "Why working from home will stick," National Bureau of Economic Research Working Paper 28731, Bernstein analysis

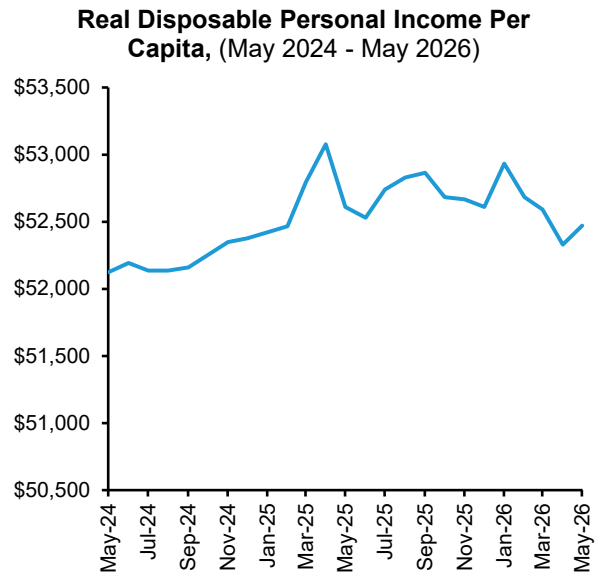
Real disposable personal income

EXHIBIT 10: **Real disposable personal income per capita has grown on a steady trajectory (ex COVID)...**



Source: BEA, Bloomberg, Bernstein analysis

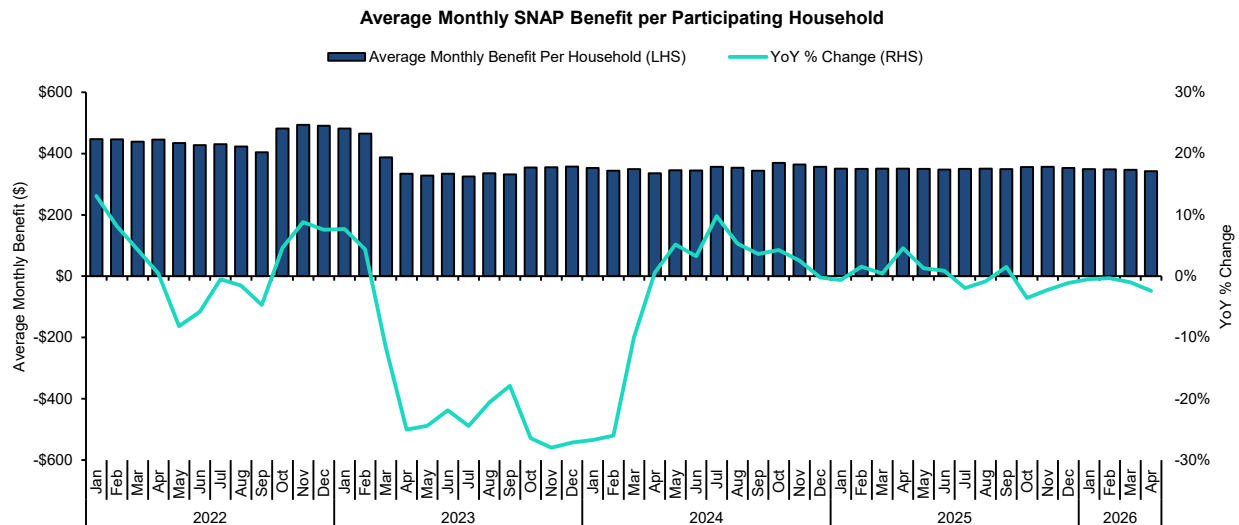
EXHIBIT 11: **...but has been volatile lately as inflation picked up.**



Source: BEA, Bloomberg, Bernstein analysis

SNAP

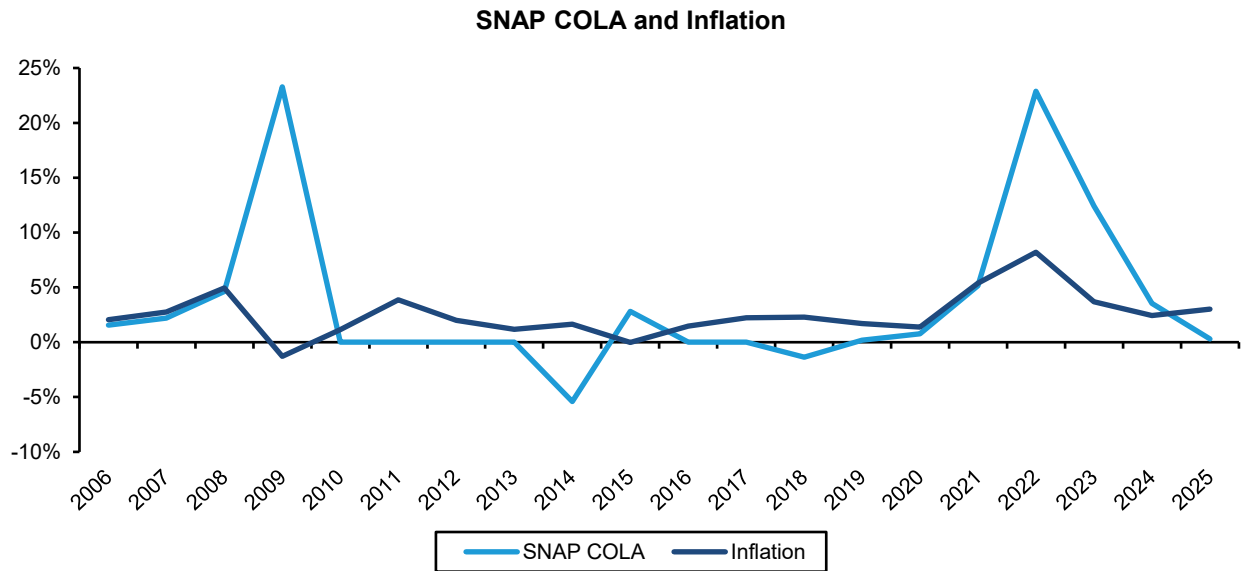
EXHIBIT 12: **The SNAP benefit per household is flat to slightly down YoY...**



USDA fiscal years run from October to September.

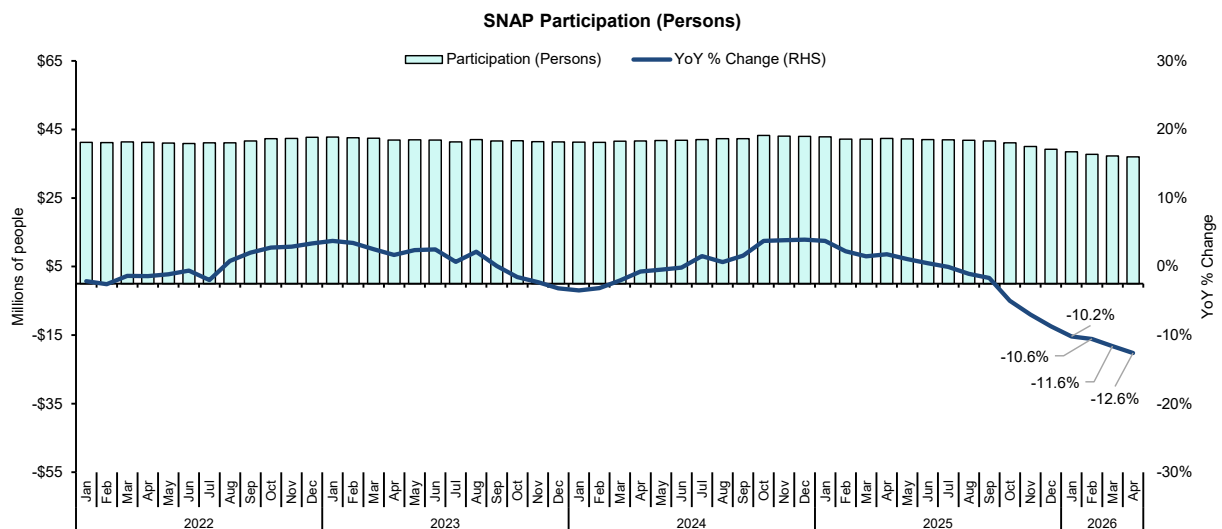
Source: USDA, Bernstein analysis

EXHIBIT 13: ...reflecting the COLA (cost of living adjustments) on the back of inflation.



Source: US Department of Agriculture, Bureau of Labor Statistics, Haver, Bernstein analysis

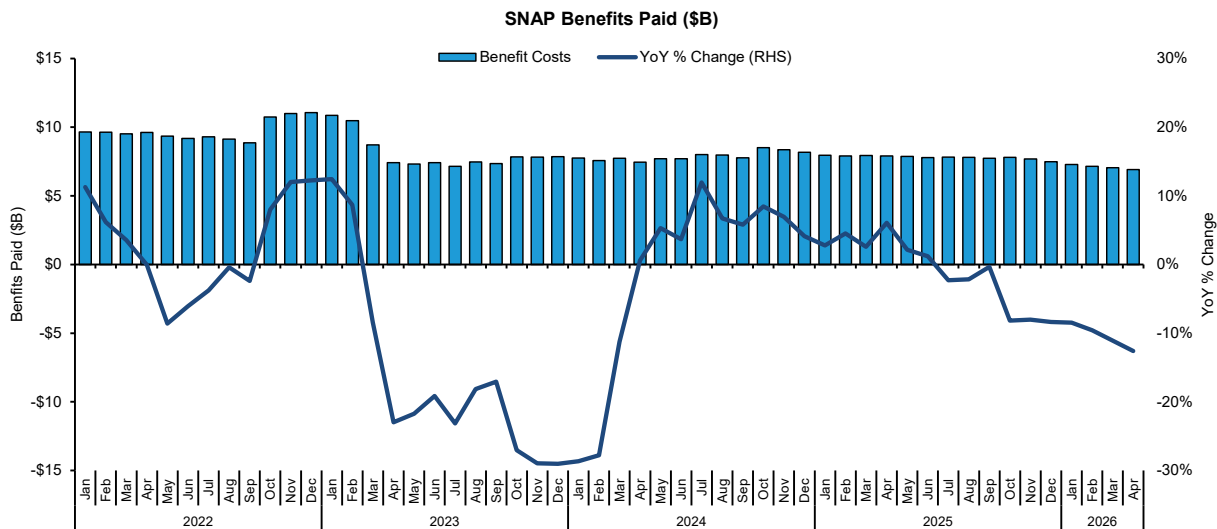
EXHIBIT 14: However, the number of eligible recipients has declined due to a change in the employment requirement for 55-65 year olds.



USDA fiscal years run from October to September.

Source: USDA, Bernstein analysis

EXHIBIT 15: **This has led to a decline in the total SNAP benefit payout since October 2025 when the USDA's new fiscal year began.**

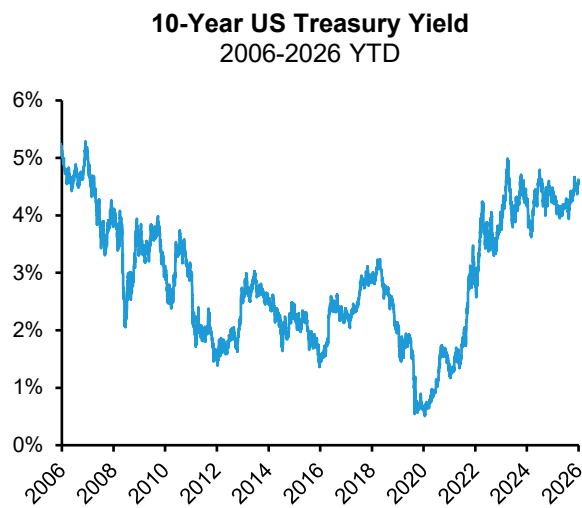


USDA fiscal years run from October to September.

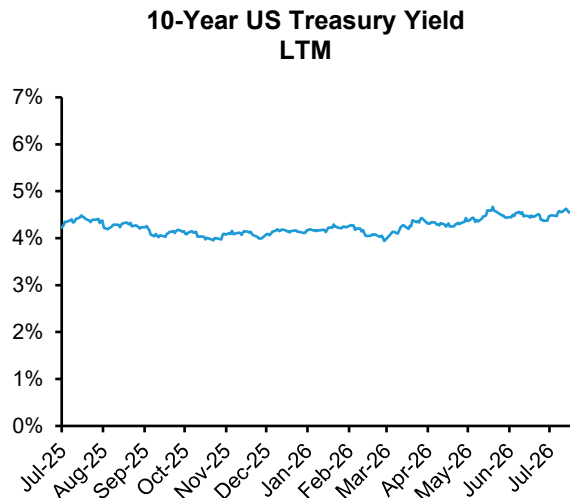
Source: USDA, Bernstein analysis

INTEREST RATE AND CONSUMER BORROWING POWER

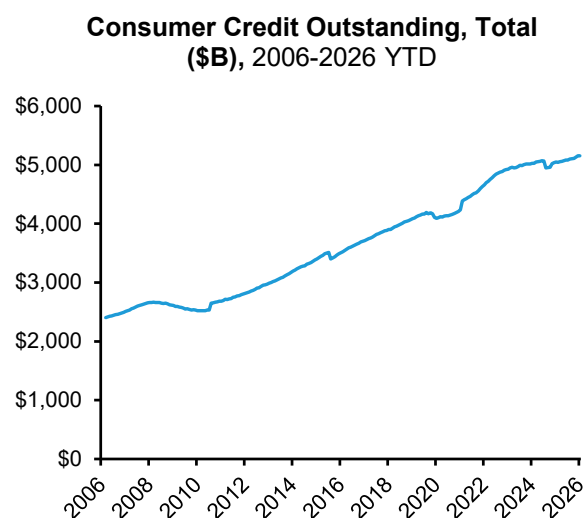
EXHIBIT 16: **10-Year US Treasury yield has been elevated...** EXHIBIT 17: **...at over 4%, sustained by persistent inflation.**



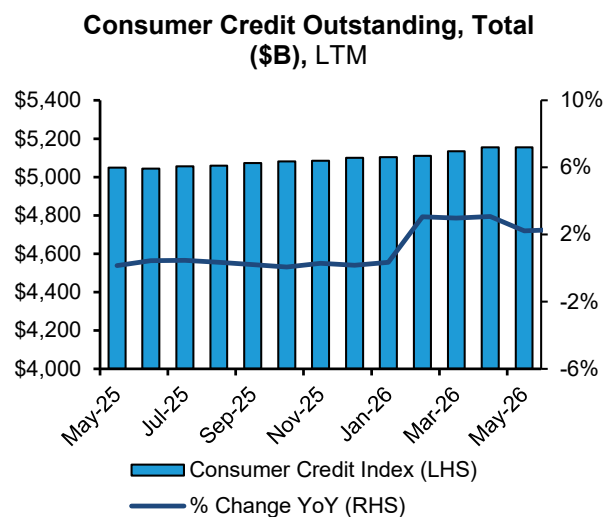
Source: Bloomberg, Bernstein analysis



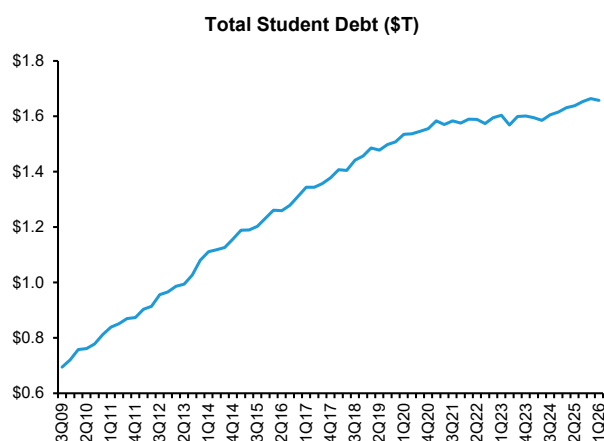
Source: Bloomberg, Bernstein analysis

EXHIBIT 18: **Consumer credit outstanding continues to grow...**

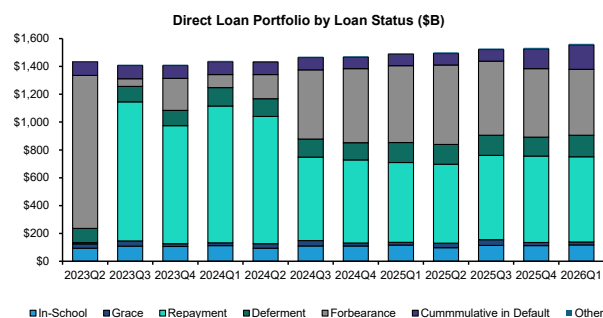
Source: Bloomberg, Bernstein analysis

EXHIBIT 19: **...but LTM headline growth lags inflation.**

Source: Federal Reserve, Bloomberg, Bernstein analysis

STUDENT LOANEXHIBIT 20: **Student loans balances stalled during COVID due to the payment freeze and forgiveness programs, followed by a bounce-back in late 2024 and early 2025.**

Source: New York Fed, Bernstein analysis

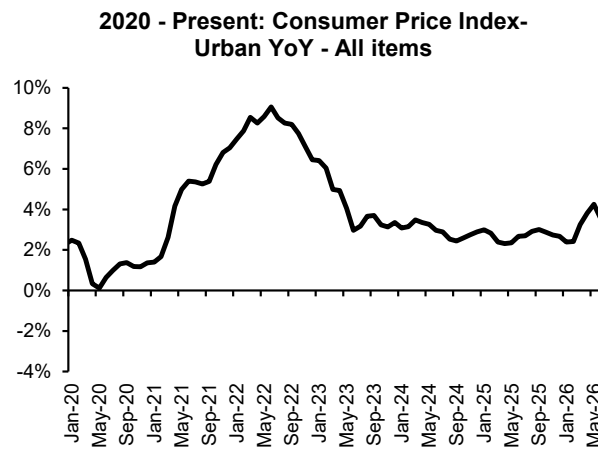
EXHIBIT 21: **As the payment freeze officially ended in Sep-23, most loans previously in forbearance have shifted into repayment or default.**

In school: borrower is actively enrolled and not yet required to make payments. Grace: ~6 months after graduation or dropping below half-time enrollment before repayment begins. Repayment: when the borrower must start paying back the loan. Deferment: temporary pauses or reductions in payments without accruing interest. Forbearance: temporary pauses or reductions in payments with accruing interest. Cumulative default: total amount that the borrower has failed to make payments.

Source: Department of Education, Bernstein analysis

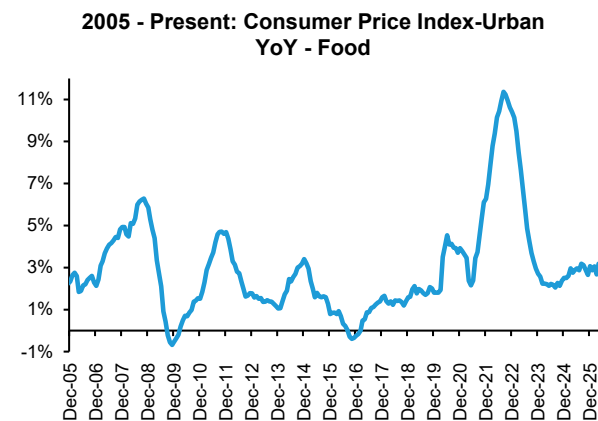
INFLATION

EXHIBIT 22: Following a sharp rise in inflation in 2022, the trend had moderated before an uptick recently.



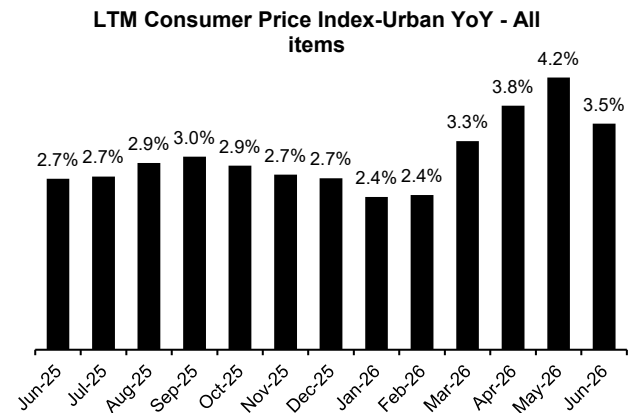
Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 24: After the peak in food prices in late 2022, inflation has slowed but seeing a recent uptick



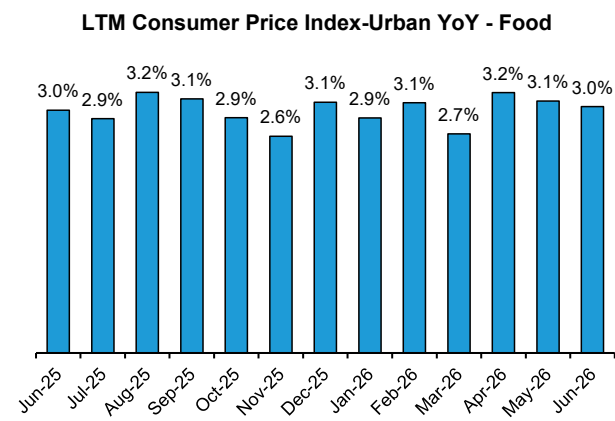
Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 23: Inflation for all items softened moderately in late 2025, but ticked up to > 4% in May due to energy inflation.

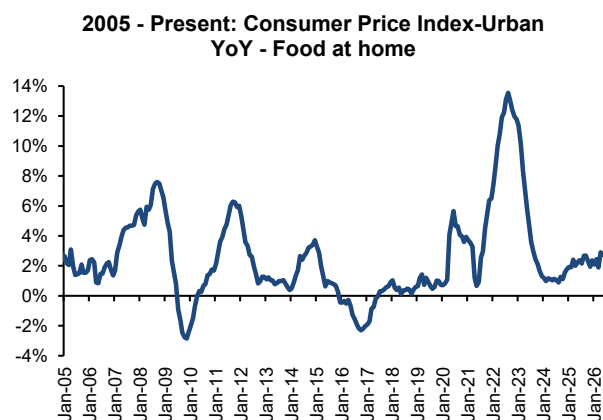


Source: Bureau of Labor Statistics, Haver, Bernstein analysis

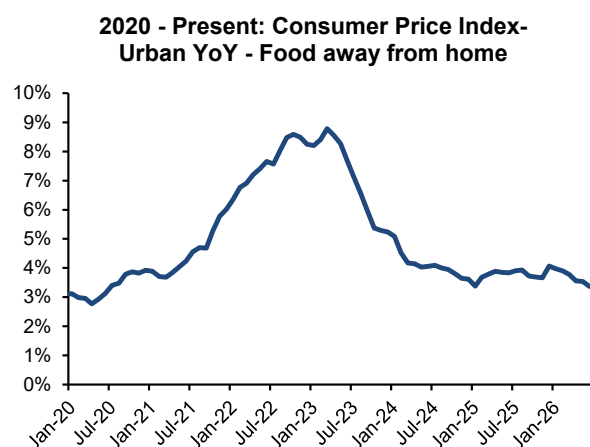
EXHIBIT 25: Food inflation has stayed around 3% YoY in the past year.



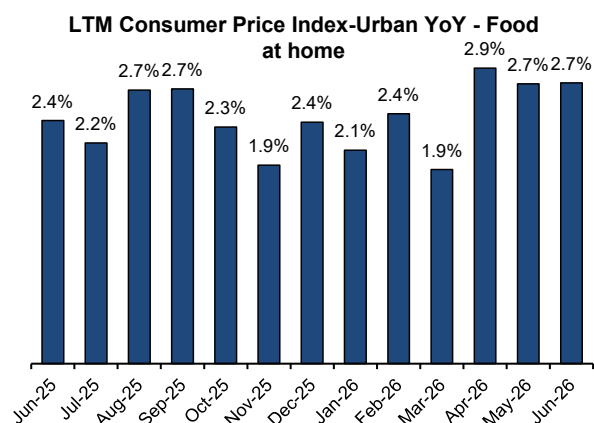
Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 26: Food-at-home inflation followed a similar trajectory post COVID...

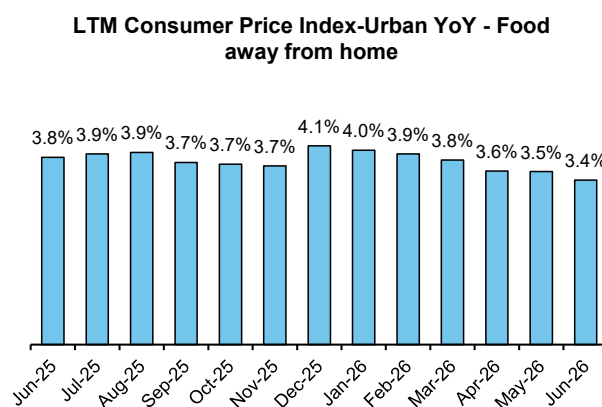
Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 28: Prices for food-away-from-home has also moderated post COVID...

Source: Bureau of Labor Statistics, Haver, Bernstein analysis

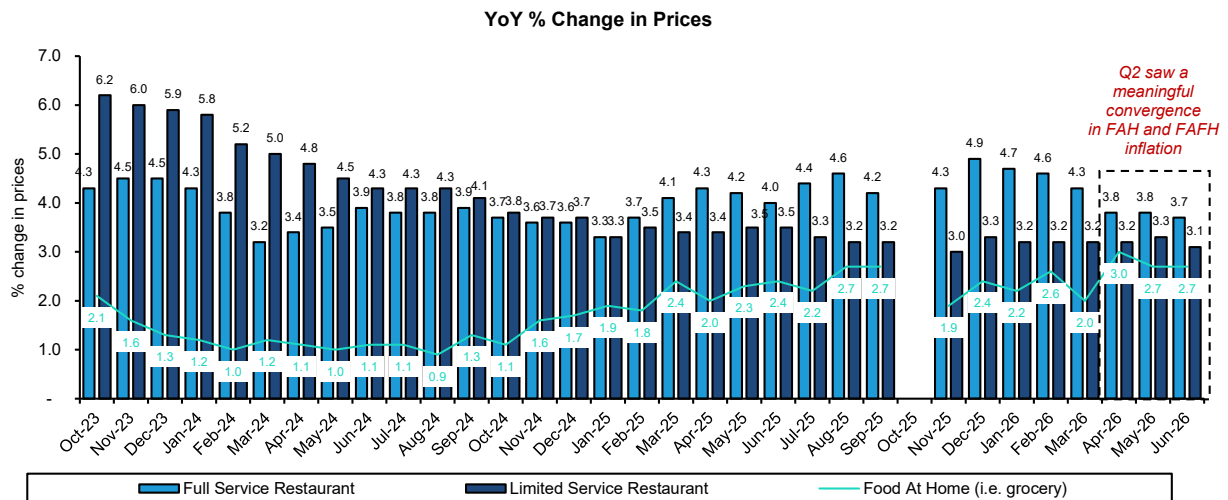
EXHIBIT 27: ... with food-at-home inflation sustaining at ~2.7% in recent months.

Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 29: ...while still elevated, food-away-from-home inflation has decelerated somewhat in 2026.

Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 30: The narrowing gap between Food-at-Home and Food-Away-From-Home inflation, alongside easing inflationary pressures, may support a potential rebound in restaurant spending as the relative value of dining out improves.

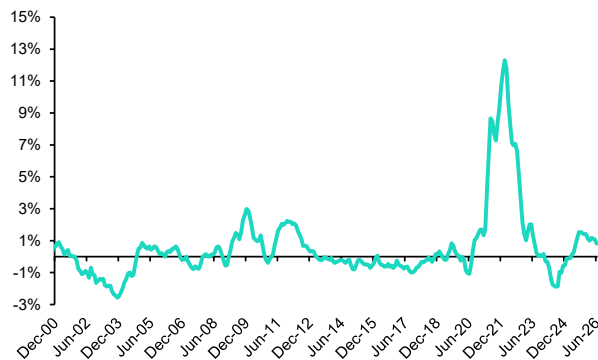


*No October data due to government shutdown

Source: BLS.com, National Restaurant Association, Bureau of Labor Statistics, FRED, Bernstein analysis

EXHIBIT 31: Since 2000, gen merch inflation has been more consistent and lower than other categories', except for the 2022 spike

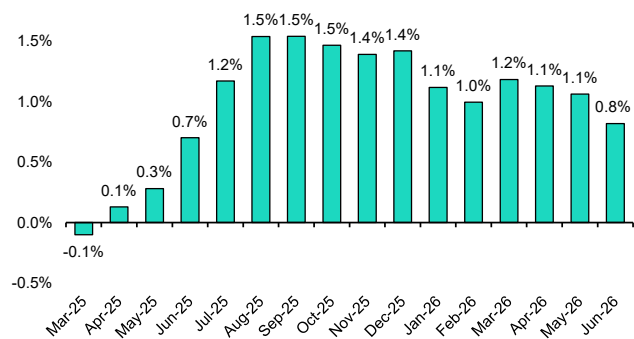
2000 - Present: Consumer Price Index-Urban YoY - General Merchandise



Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 32: Most gen merch categories turned inflationary in 2025 on the back of tariffs.

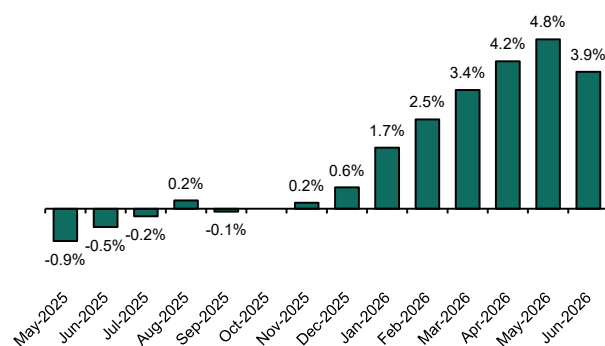
LTM Consumer Price Index-Urban YoY - General Merchandise



Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 33: After a period of deflation through early 2025, apparel has turned inflationary...

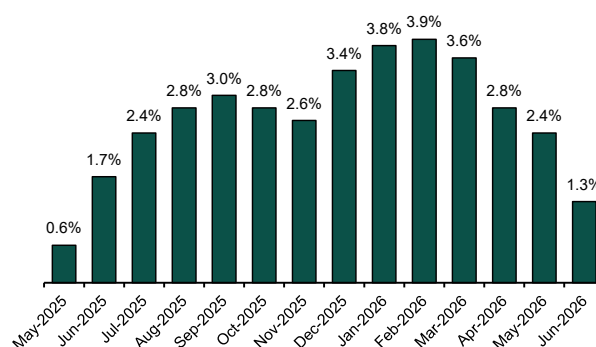
LTM Consumer Price Index - Urban YoY - Apparel



Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 34: ... while the home category has been inflationary, the inflationary trend has moderated as we start to lap tariff-driven price increases.

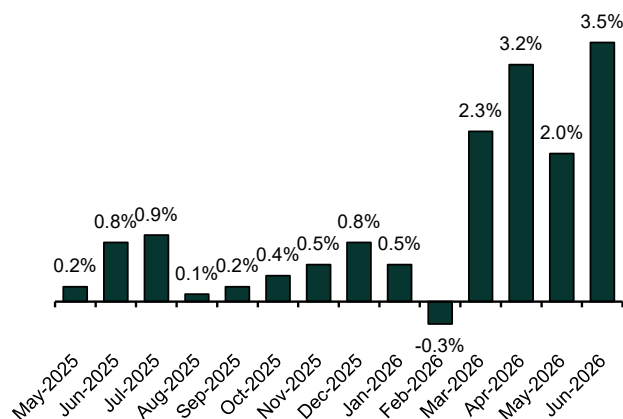
LTM Consumer Price Index - Urban YoY - Household Furnishings and Supplies



Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 35: The toy category has become increasingly inflationary over the LTM...

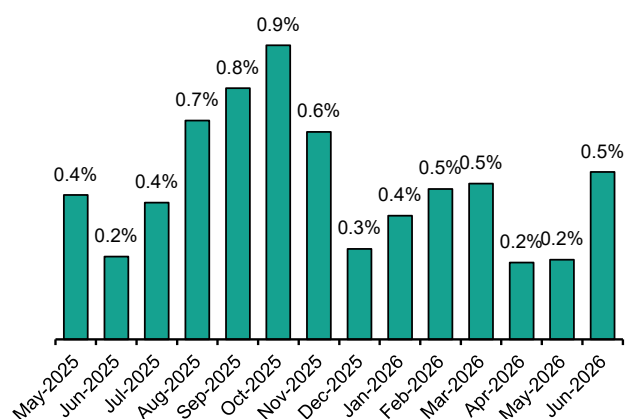
LTM Consumer Price Index - Urban YoY - Toys



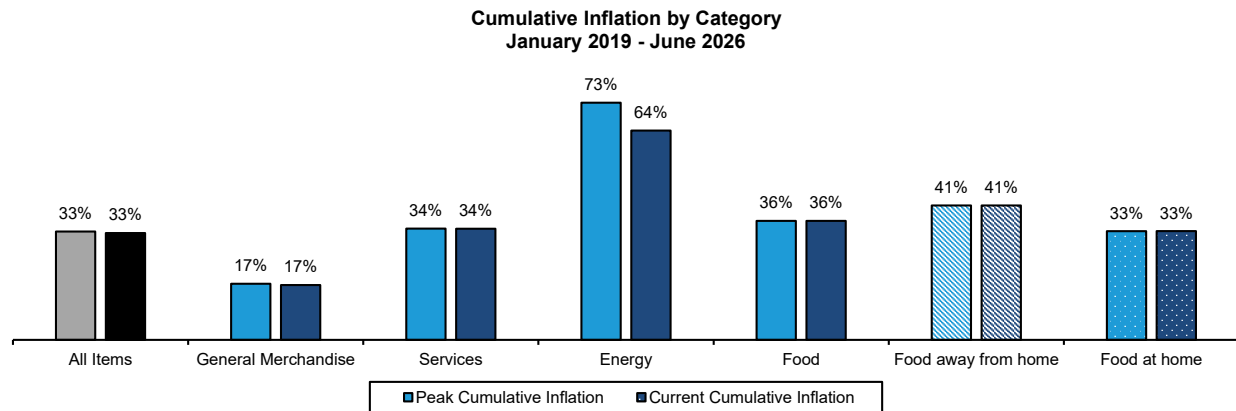
Source: Bureau of Labor Statistics, Bernstein analysis

EXHIBIT 36: ...while new vehicles also remain inflationary.

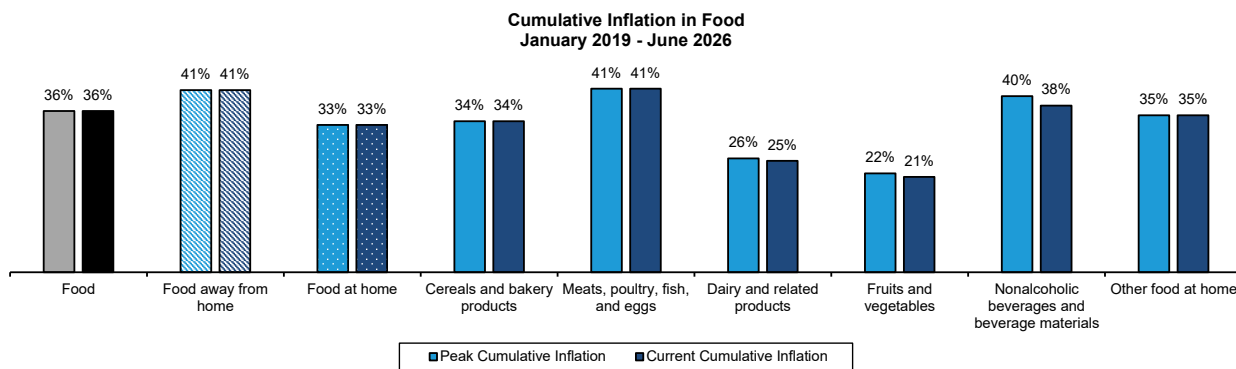
LTM Consumer Price Index - Urban YoY - New Vehicles



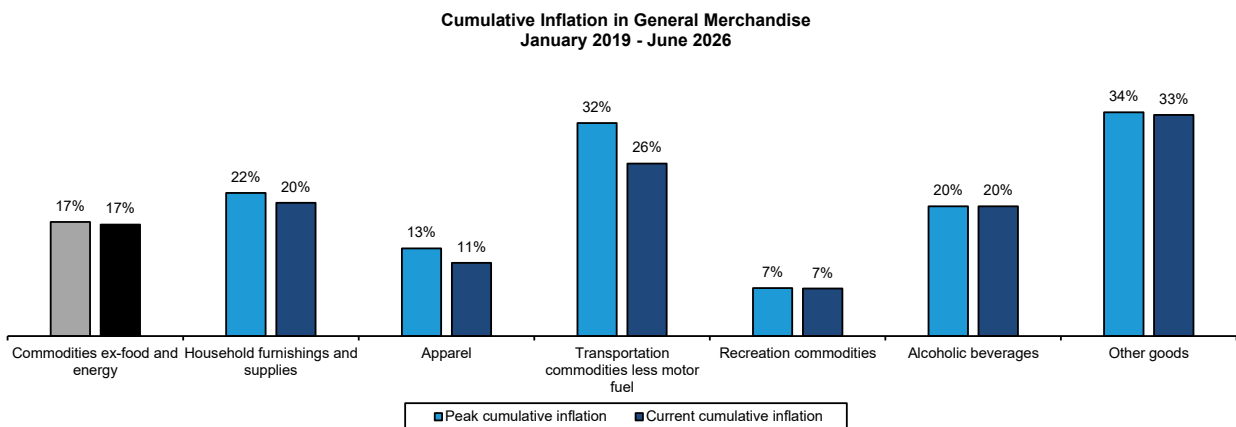
Source: Bureau of Labor Statistics, Haver, Bernstein analysis

EXHIBIT 37: Cumulative inflation since January 2019 is at 33% across all items, led by inflation in Energy and Food.

Source: Bureau of Labor Statistics, Haver, Bernstein analysis

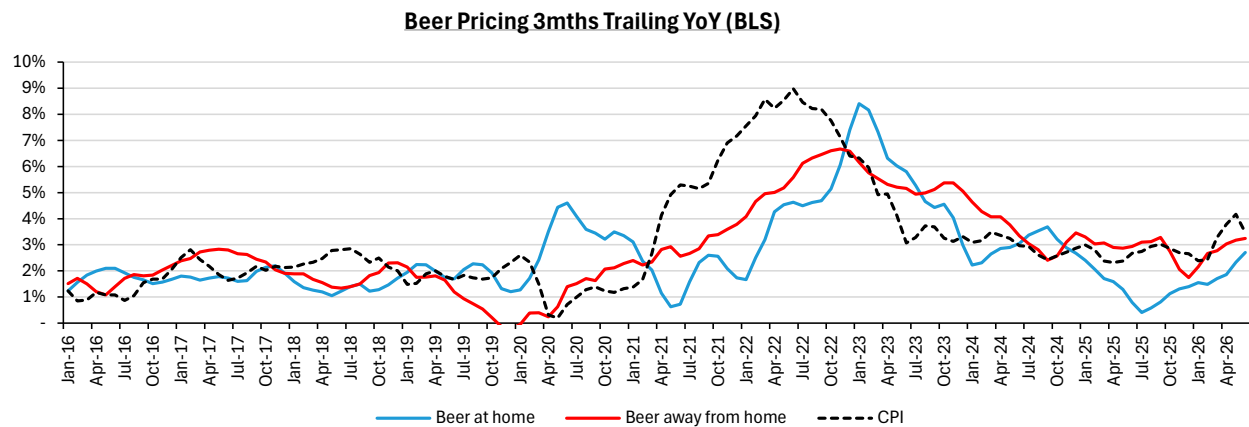
EXHIBIT 38: Cumulative inflation for Food since January 2019 is at 36%, led by Food away from home and meat products (within Food at home).

Source: Bureau of Labor Statistics, Bernstein analysis

EXHIBIT 39: Cumulative inflation for Commodities ex-Food and Energy (a proxy for general merchandise) stands at 17%

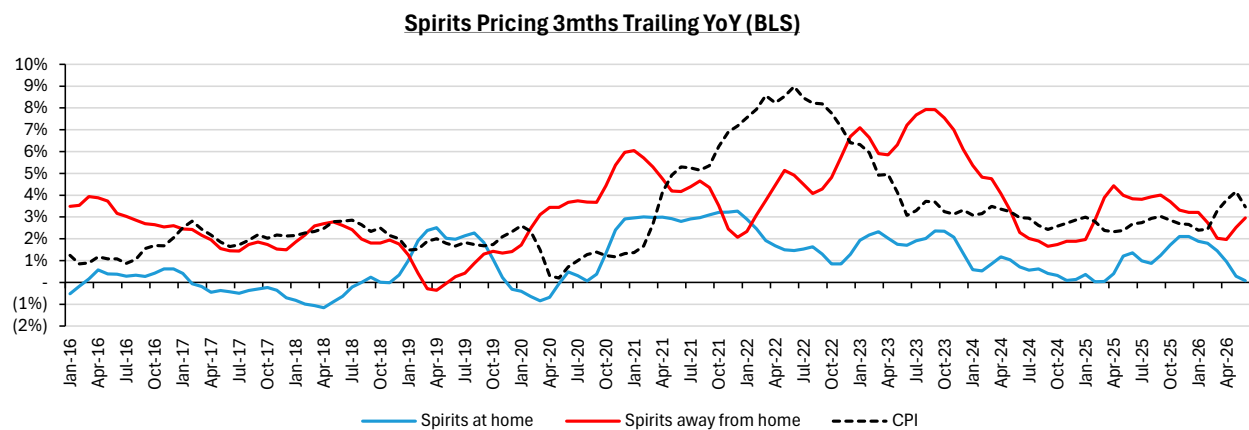
Source: Bloomberg, Bernstein Analysis

EXHIBIT 40: Beer inflation has moderated from 2022 highs, though beer inflation away from home has outstripped at home. Overall category pricing is +LSD%



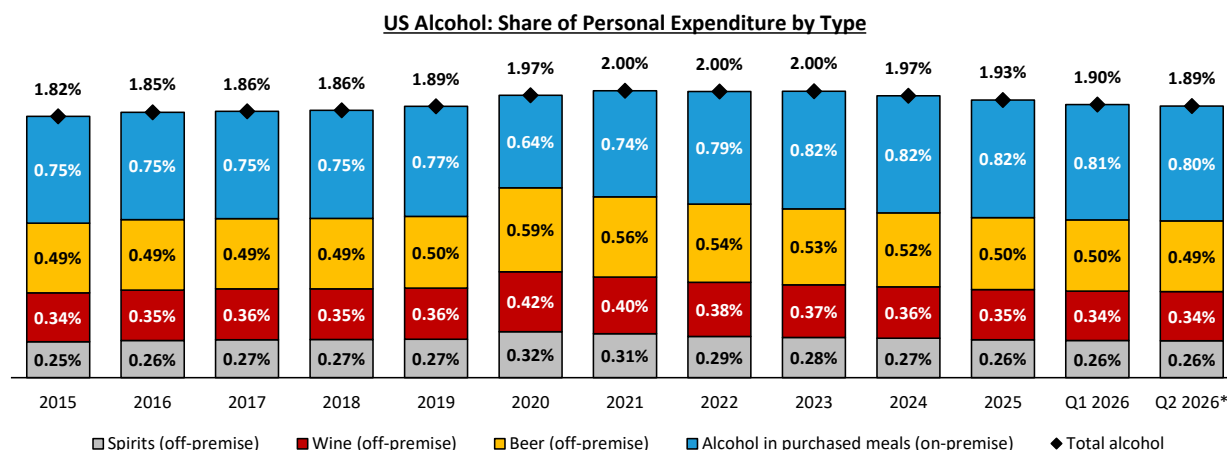
Source: BLS, Bernstein analysis

EXHIBIT 41: Spirits away from home saw significant uptick in 2025 pricing vs. spirits at home. This has remained elevated through Q2



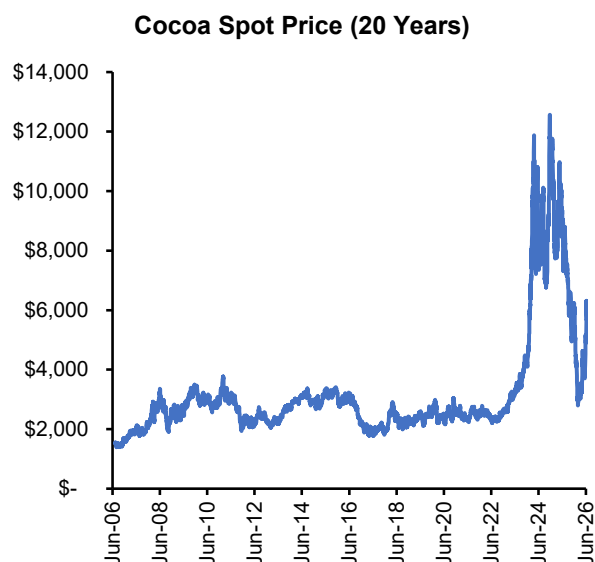
Source: BLS, Bernstein analysis

EXHIBIT 42: Q2 2026 share of personal expenditure on alcohol is a touch lower vs. 2025, albeit still in-line 2019 base line due to higher spending on-premise



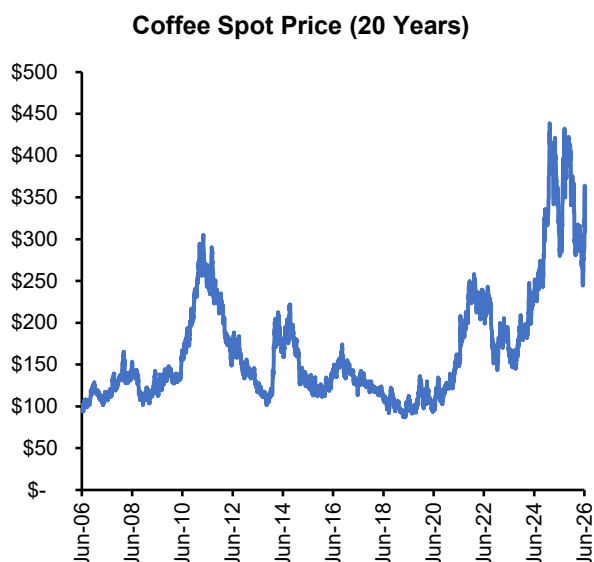
*Q2 2026 refers to April and May data available
Source: BEA, Bernstein analysis

EXHIBIT 43: Cocoa prices had normalized from recent peaks, but have begun to inflate again on El Nino fears



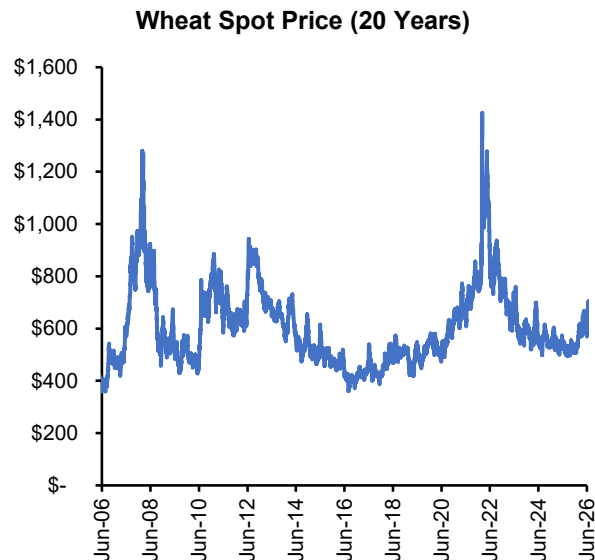
Source: Bloomberg, Bernstein analysis

EXHIBIT 44: Coffee prices also remain elevated despite some recent moderation



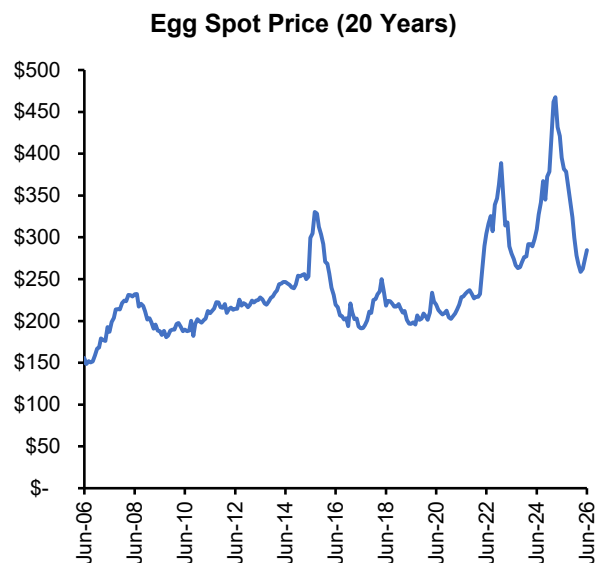
Source: Bloomberg, Bernstein analysis

EXHIBIT 45: Wheat prices have normalized since the start of the Ukraine conflict in 2022 but remain susceptible to volatility in the region



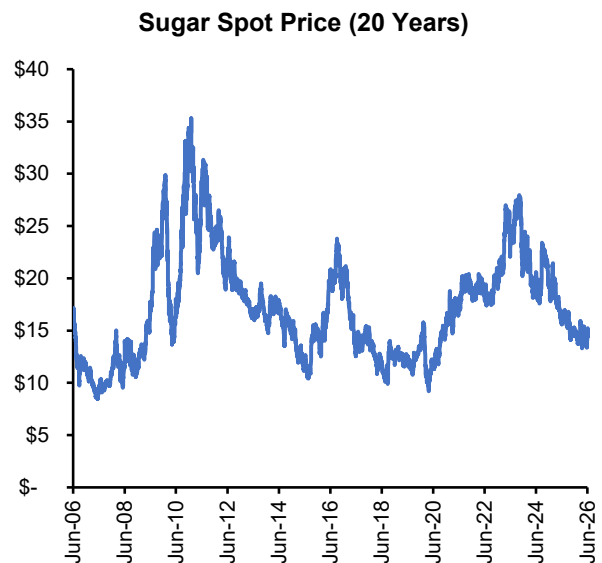
Source: Bloomberg, Bernstein analysis

EXHIBIT 47: Egg prices surged to above-COVID level high due to the avian flu in early 2025, but have since normalized



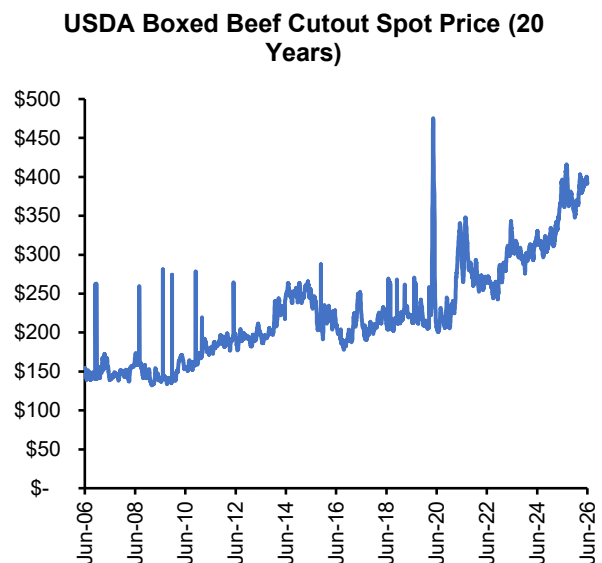
Source: Bloomberg, Bernstein analysis

EXHIBIT 46: Sugar prices have moderated from 2022 peak levels



Source: Bloomberg, Bernstein analysis

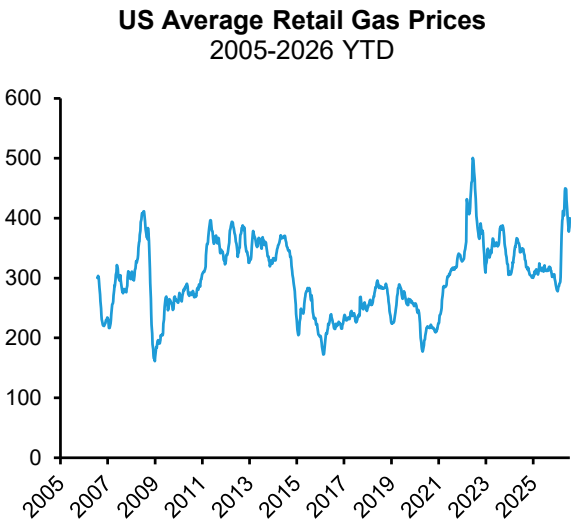
EXHIBIT 48: Beef prices have inflated significantly in the last several years as the domestic cattle herd hits a multi-decade low



Source: Bloomberg, Bernstein analysis

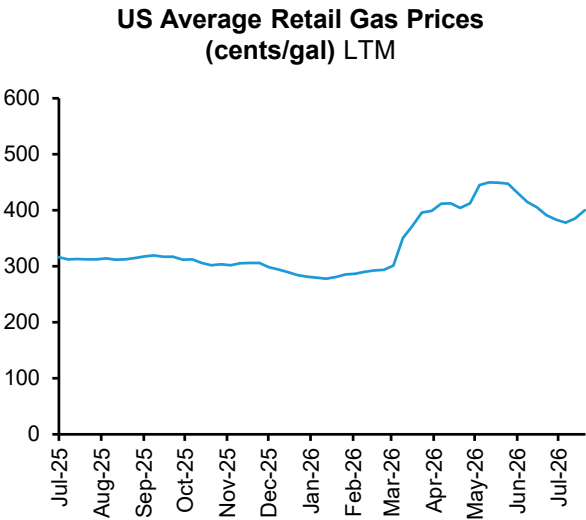
US GAS PRICES

EXHIBIT 49: **Gas price was deflationary up until recently...**
As of July 20, 2026



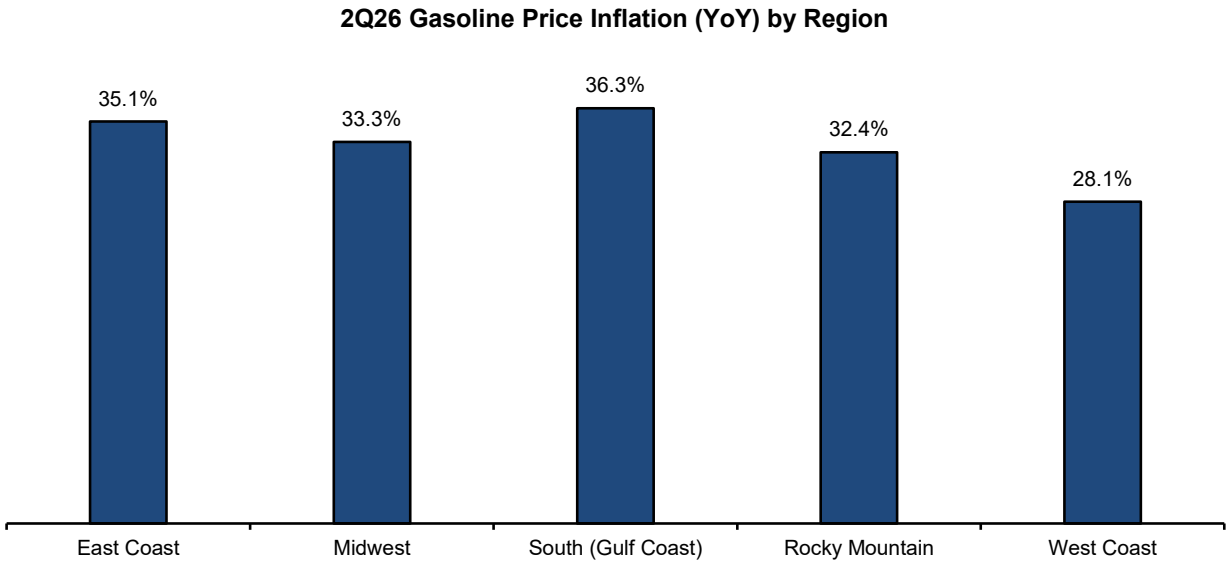
Source: Bloomberg, Bernstein analysis

EXHIBIT 50: **...the Iran conflict drove a spike in gas inflation.**
As of July 20, 2026



Source: Bloomberg, Bernstein analysis

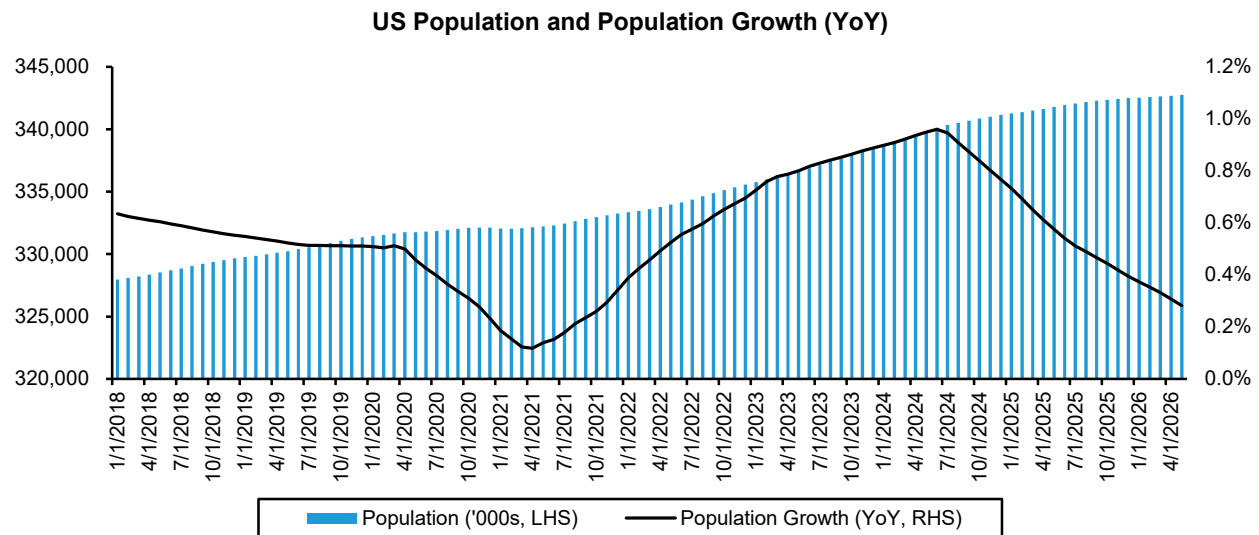
EXHIBIT 51: **By region, the Southern region saw the highest gasoline inflation in Q2.**



Source: EIA, Bernstein analysis

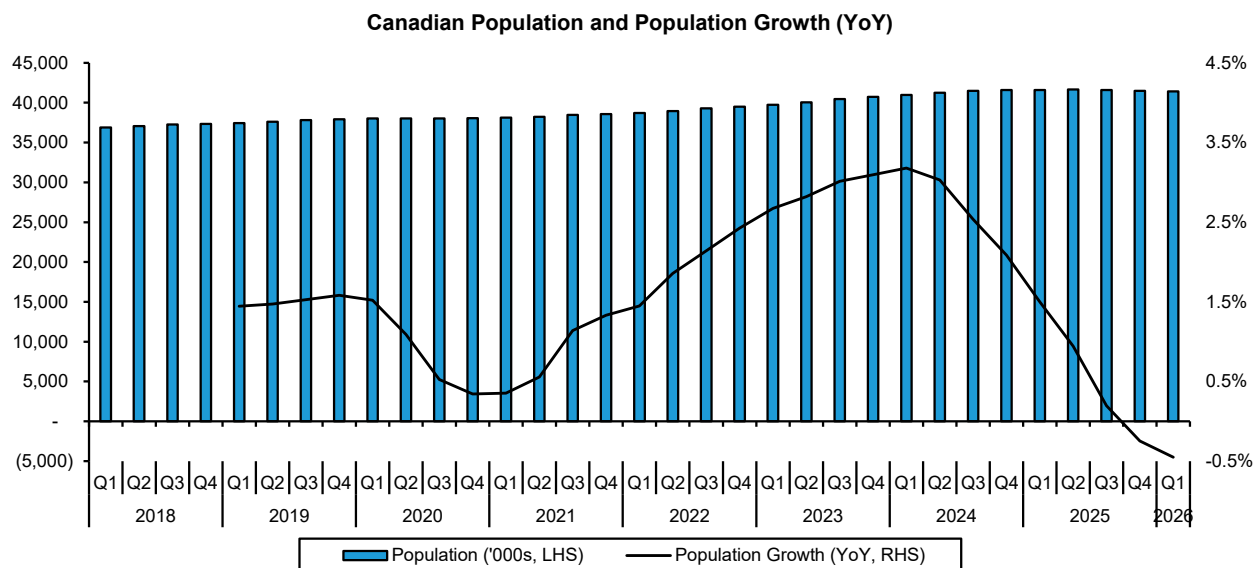
POPULATION GROWTH

EXHIBIT 52: US population growth has started to decelerate on the back of tighter immigration policies, but the degree of change has been modest and we expect the impact on retail sales to take a long time to play out.



Source: BEA, FRED, Bernstein analysis

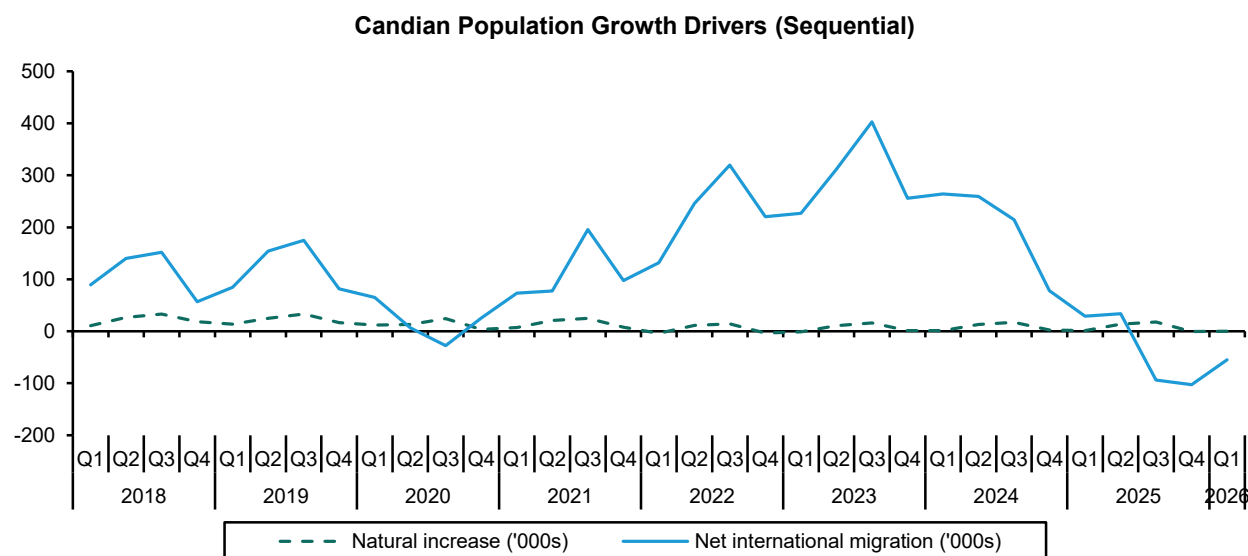
EXHIBIT 53: In comparison, there has been a sharper deceleration in population growth in Canada...



Population level shown for a given quarter reflects the quarter-end population.

Source: Statistics Canada, Bernstein analysis

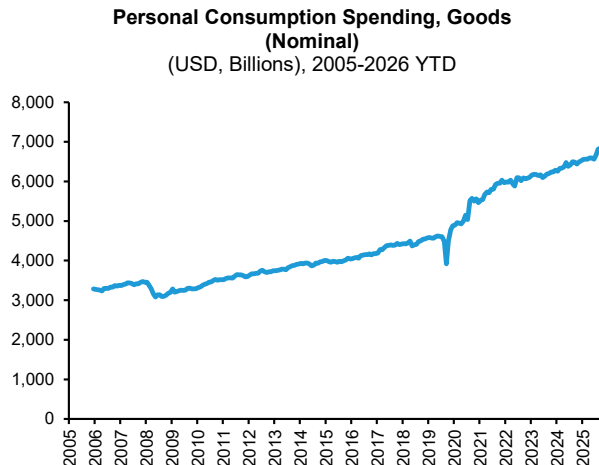
EXHIBIT 54: ...given a shift in the country's immigration policy, which could weigh on retail sales if this trend persists.



Source: Statistic Canada, Bernstein analysis

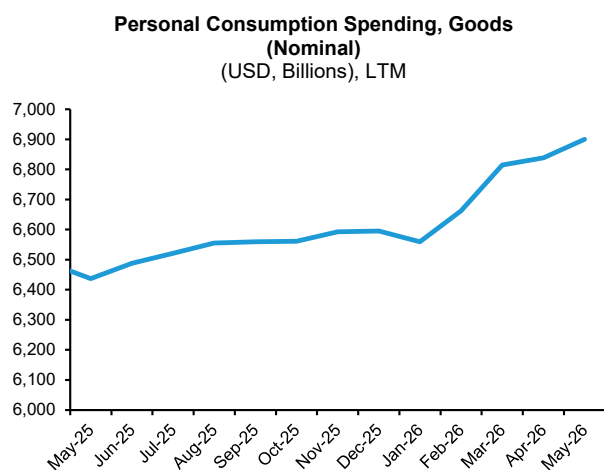
CONSUMER SPENDING

EXHIBIT 55: **Nominal PCE spending increased in recent years along with inflation...**

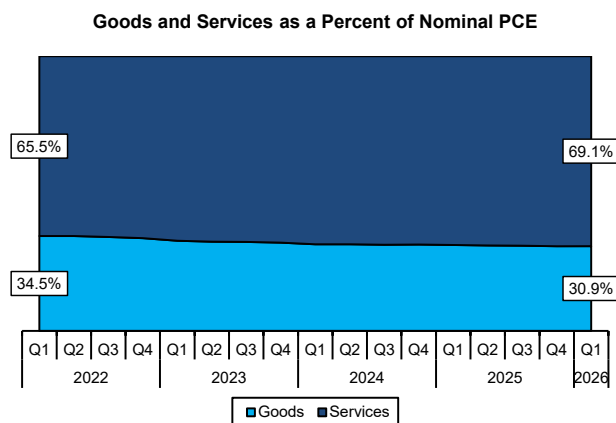


Source: BEA, Bloomberg, Bernstein analysis

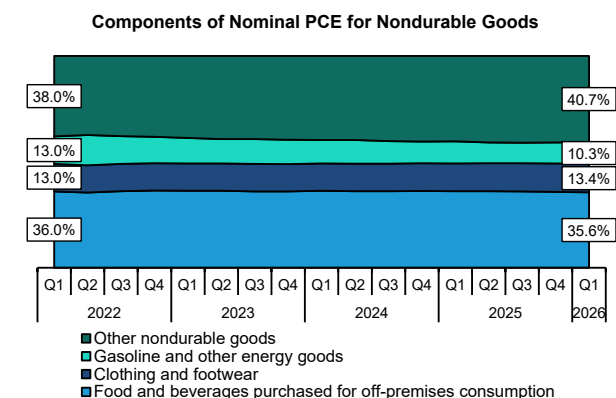
EXHIBIT 56: **...with the trend persisting over the LTM**



Source: BEA, Bloomberg, Bernstein analysis

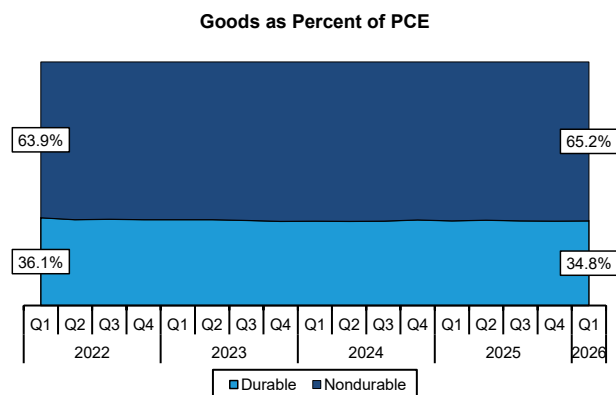
EXHIBIT 57: Within PCE, consumer spending on services has grown at the expense of goods since 2022.

Calendar quarters shown.
Source: BEA, Bernstein analysis

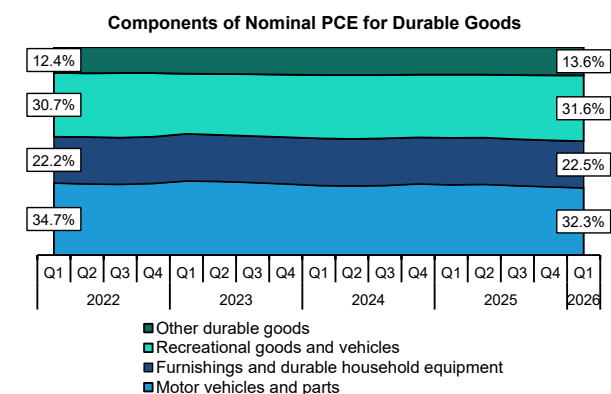
EXHIBIT 59: Within nondurable goods, consumers are spending more on pharmaceuticals and medical products (captured in the “other” category).

Calendar quarters shown. “Food & beverages for off-premises consumption” is defined as “Food and beverages purchased for off-premises consumption” and is food, nonalcoholic beverages, and alcoholic beverages purchased for off-premises consumption. “Clothing and footwear” is comprised of womens’ and girls’ clothing; mens’ and boys’ clothing; children’s and infants’ clothing; and other clothing materials and footwear. “Gasoline and other energy goods” is comprised of motor vehicle fuels, lubricants, and fluids and fuel oil and other fuels. “Other nondurable goods” is comprised of pharmaceutical and other medical products; recreational items; household supplies; personal care products; tobacco products; magazines, newspapers, and stationery; and net expenditures abroad by US residents.

Source: BEA, Bernstein analysis

EXHIBIT 58: Within goods, nondurable (or consumables) have taken share at the expense of durable.

Calendar quarters shown.
Source: BEA, Bernstein analysis

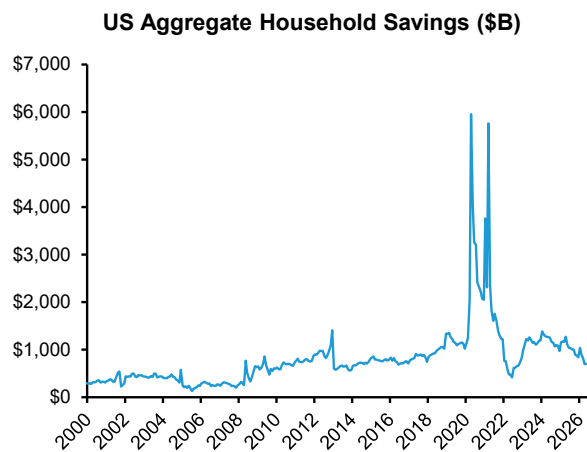
EXHIBIT 60: Within durable goods, spending on recreation, furnishings, and motor vehicles remain stable, while therapeutic appliances is driving “other durable goods” segment’s share gain.

Calendar quarters shown. “Motor vehicles and parts” is comprised of new and used motor vehicle purchases and motor vehicle parts and accessories. “Furnishings and durable household equipment” is comprised of furniture and furnishings; household appliances; glassware, tableware, and household utensils; and tools and equipment for house and garden. “Recreational goods and vehicles” is comprised of video, audio, photographic, and information processing equipment and media; sporting equipment, supplies, guns, and ammunition; sports and recreational vehicles; recreational books; and musical instruments. “Other durable goods” is comprised of jewelry and watches; therapeutic appliances and equipment; educational books; luggage and similar personal items; and telephone and related communication equipment.

Source: BEA, Bernstein analysis

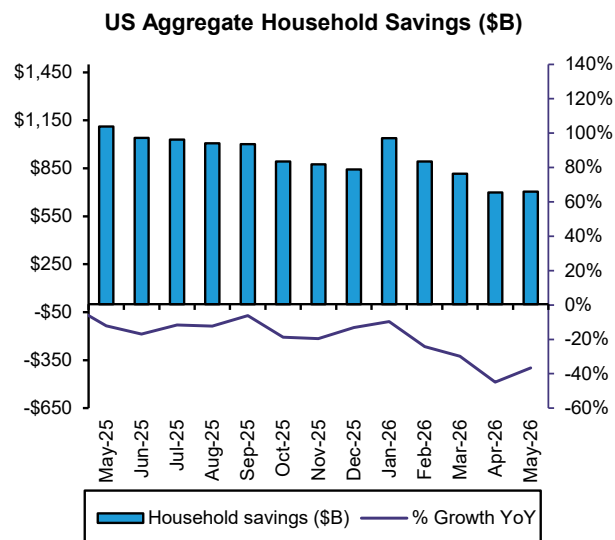
HOUSEHOLD SAVINGS

EXHIBIT 61: **US household savings normalized from COVID peaks...**



Source: Bureau of Economic Analysis, Bloomberg, Bernstein analysis

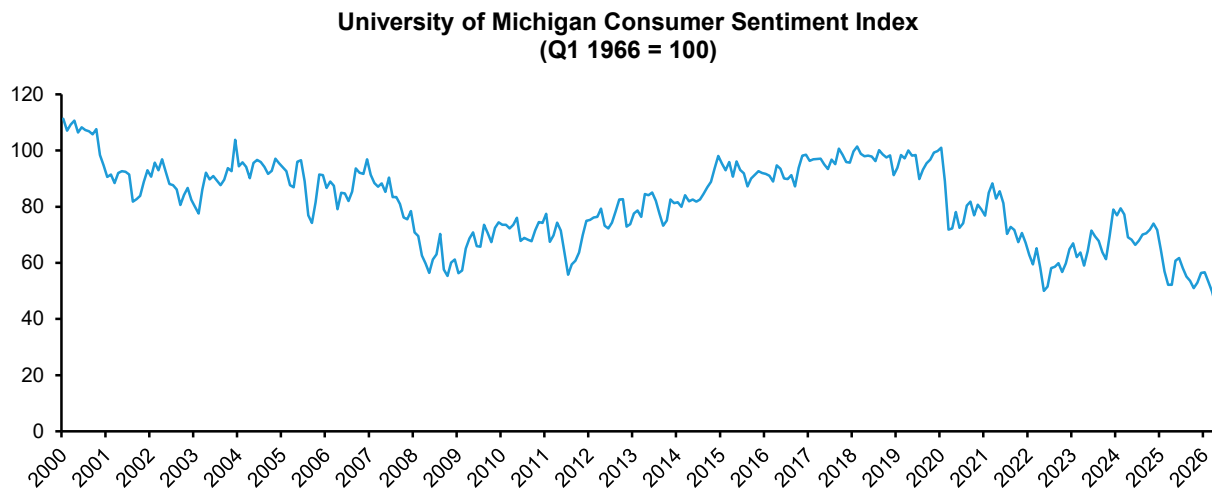
EXHIBIT 62: **...so did the growth rate in household savings.**



Source: BEA, Bloomberg, Bernstein analysis

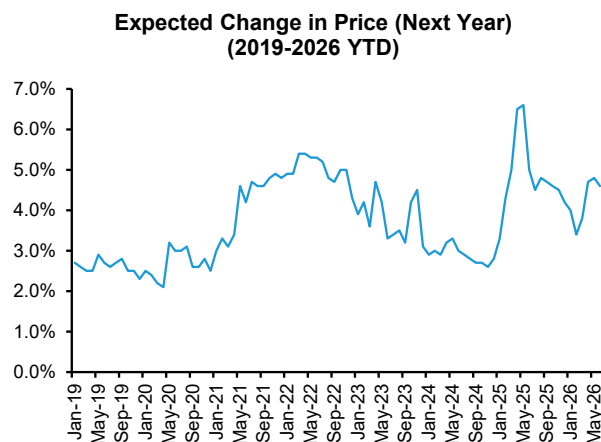
CONSUMER SENTIMENT

EXHIBIT 63: **Consumer sentiment remains weak...**



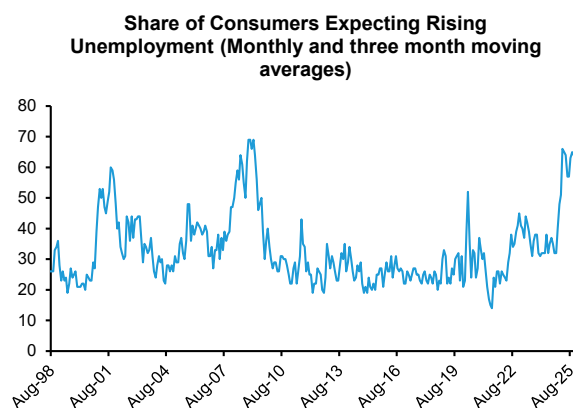
Source: University of Michigan, Bloomberg, Bernstein analysis

EXHIBIT 64: ...along with rising inflation expectations.



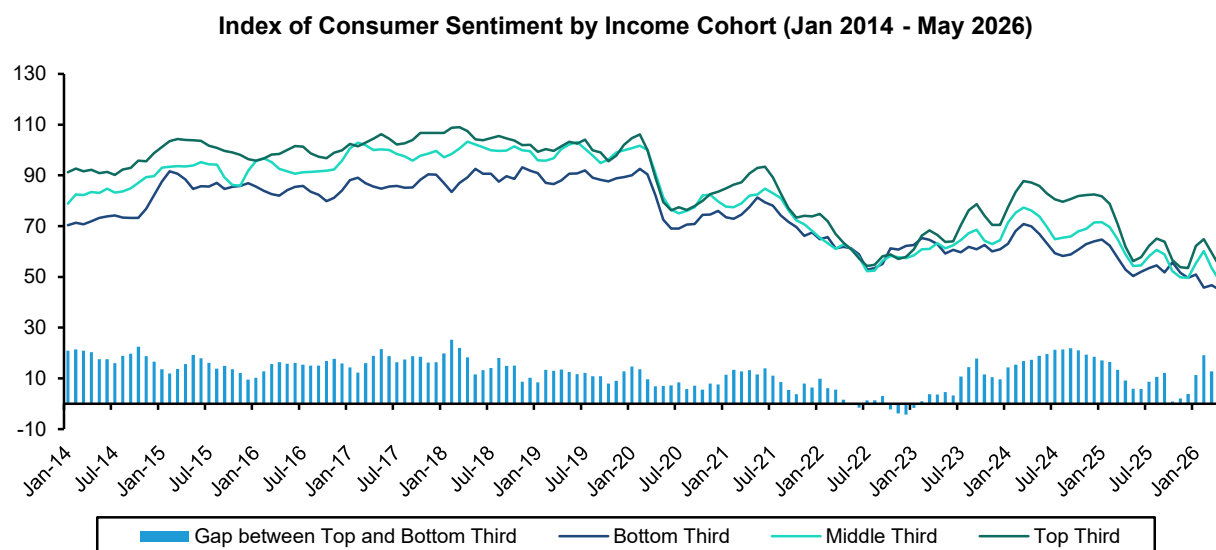
Source: University of Michigan, Bernstein analysis

EXHIBIT 65: The share of consumers expecting rising unemployment remains elevated.



Source: University of Michigan, Bernstein analysis

EXHIBIT 66: As effects of tax refunds fade, consumer sentiment across all income cohort decreased, with lower-income consumers experiencing the biggest drop.



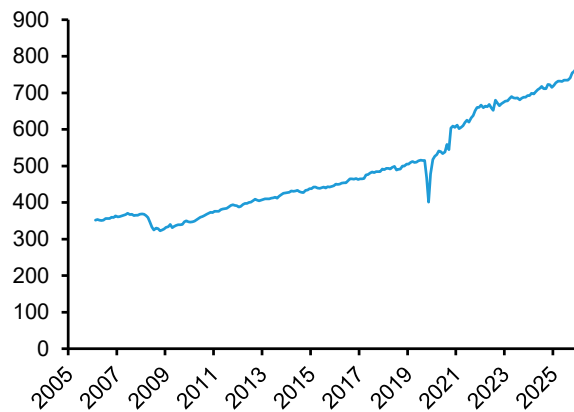
Source: University of Michigan, Bernstein analysis

WHAT ARE CONSUMERS BUYING?

Retail Sales

EXHIBIT 67: **US retail sales have grown along with inflation in recent years...**

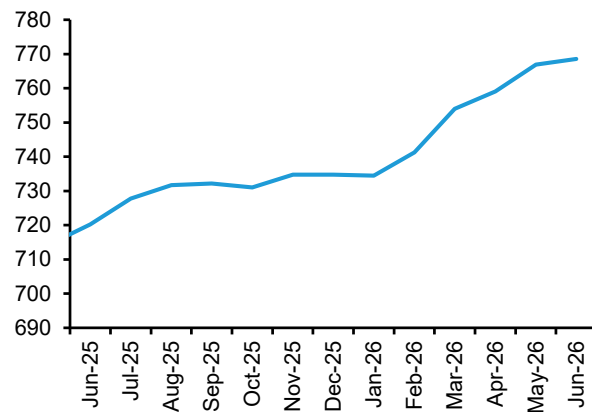
US Total Retail Sales (Billions, seasonally adjusted monthly sales) 2005-2026 YTD



Source: US Census Bureau, Bloomberg, Bernstein analysis

EXHIBIT 68: **...and have generally been on an upward trajectory.**

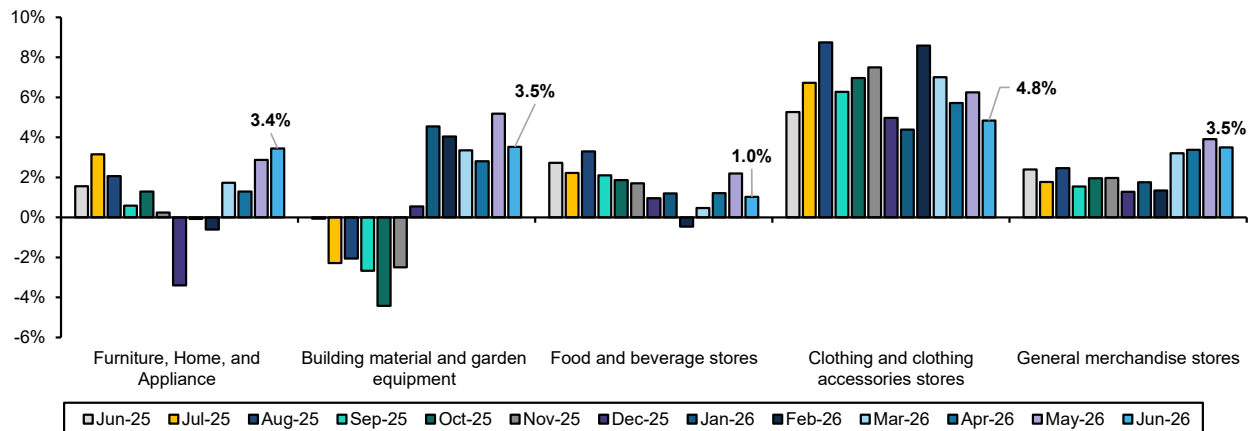
US Total Retail Sales (Billions, seasonally adjusted monthly sales) LTM



Source: US Census Bureau, Bloomberg, Bernstein analysis

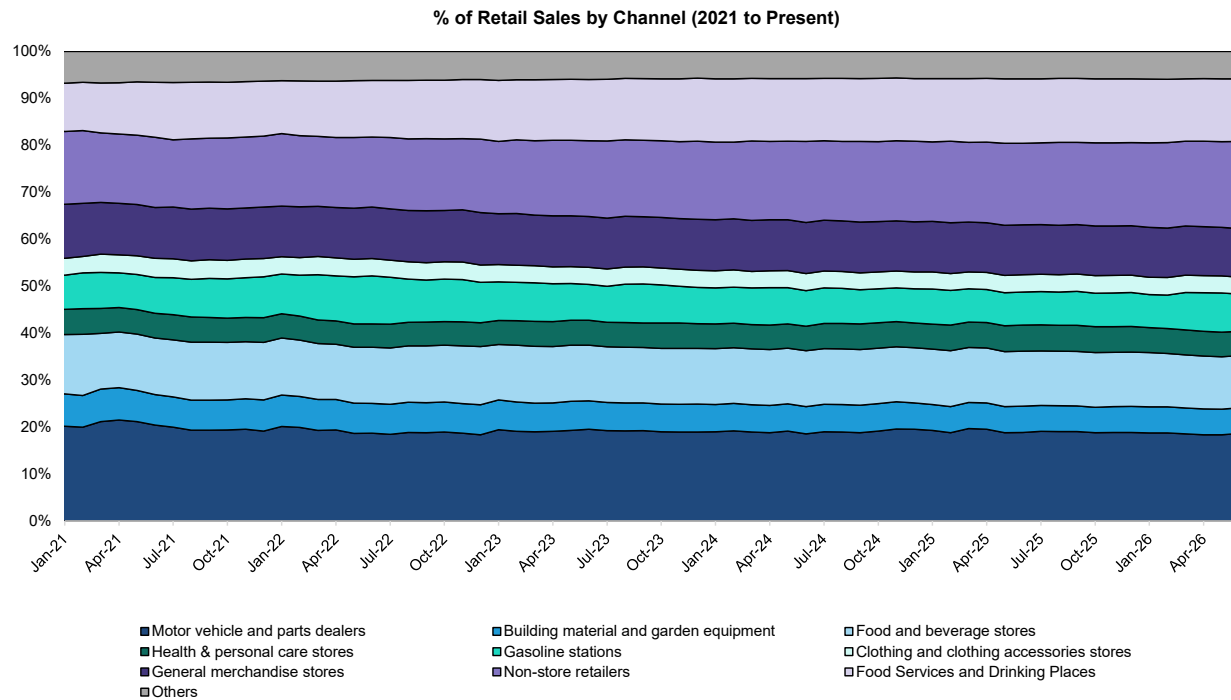
EXHIBIT 69: **Discretionary categories have seen relatively strong sales growth recently, on the back of tariff-driven price increases.**

Retail Sales Growth by Category LTM



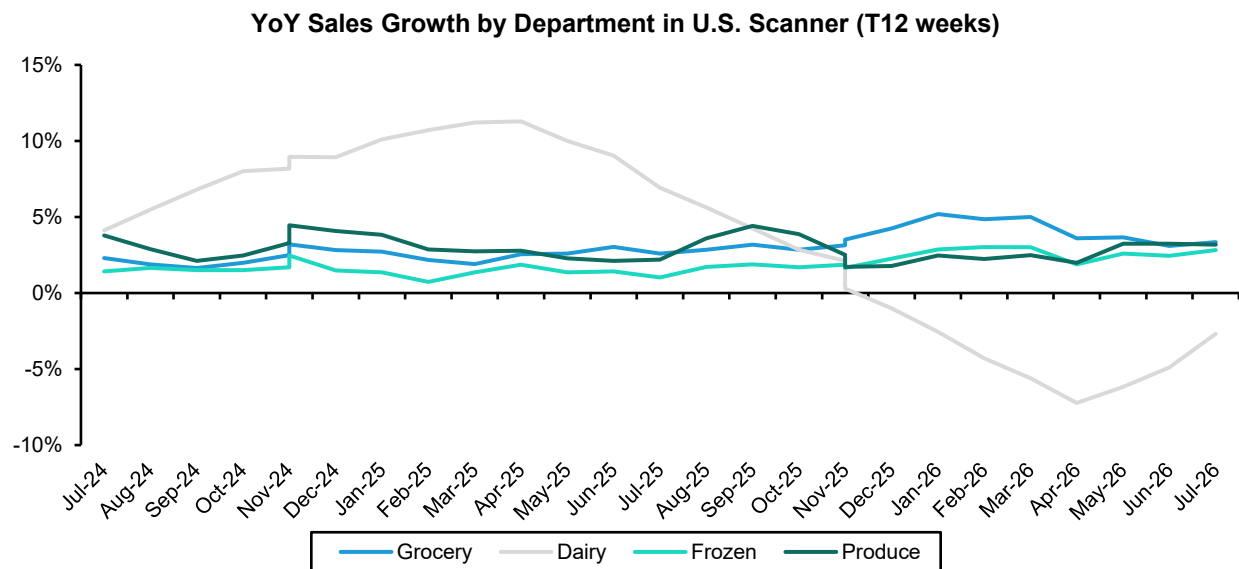
Source: BLS, Bloomberg, Bernstein analysis

EXHIBIT 70: By channel, non-store retailers (including e-commerce) have gained share at the expense of brick & mortar retailers.



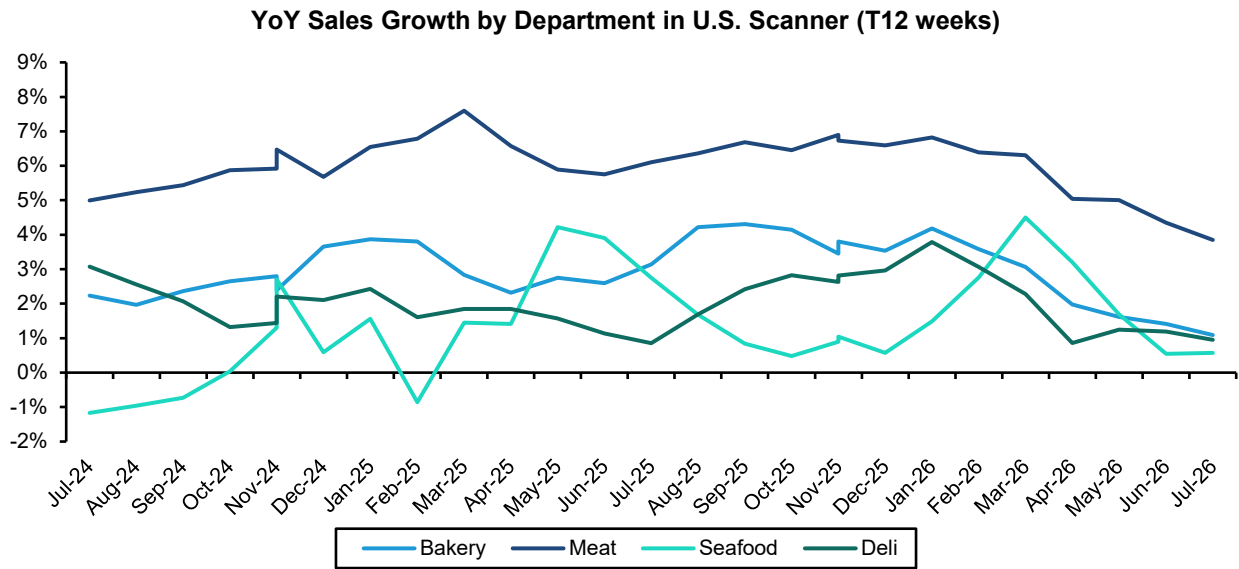
Source: BLS, Bloomberg, Bernstein analysis

EXHIBIT 71: In the consumables category, dairy has come down but is slowly rising again, while grocery, frozen and produce stay in the low single digits ...



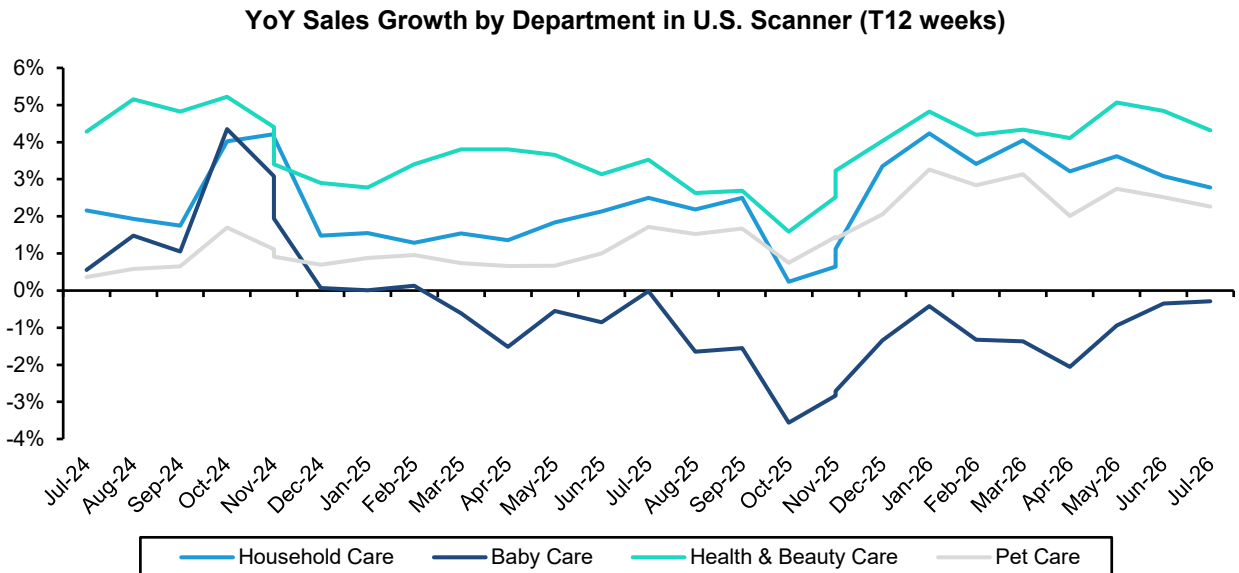
Source: NielsenIQ, Bernstein analysis

EXHIBIT 72: ...Seafood, bakery, deli, and meat all show slight declines, starting around the beginning of this year except seafood which started to decline five months prior



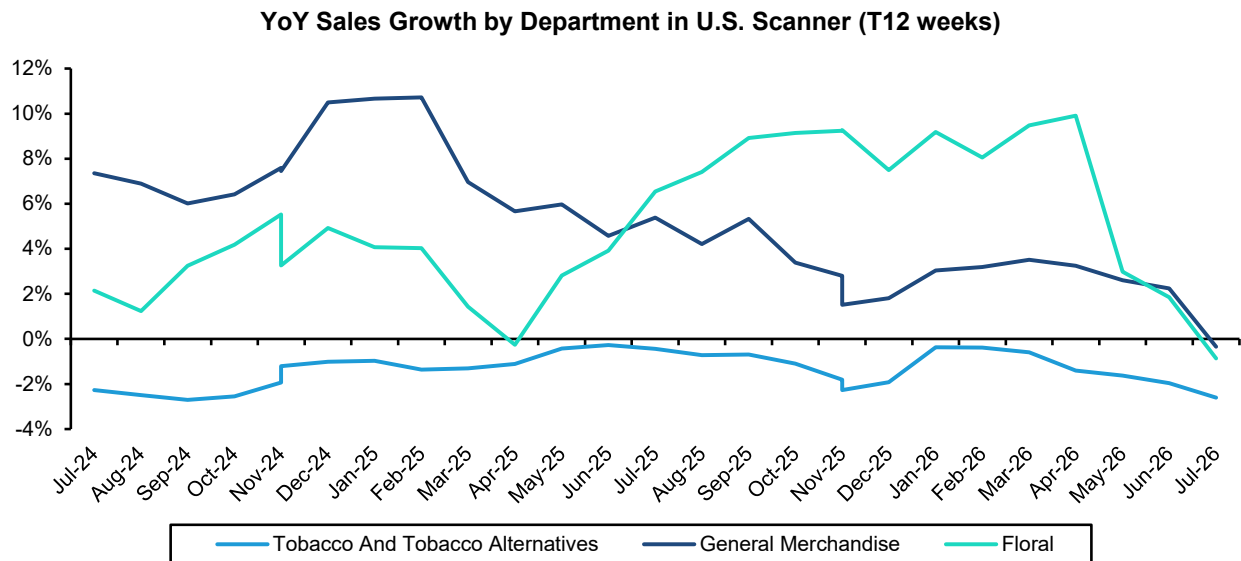
Source: NielsenIQ, Bernstein analysis

EXHIBIT 73: On the non-grocery side, health & beauty care, household products, and pet care show positive growth YoY...



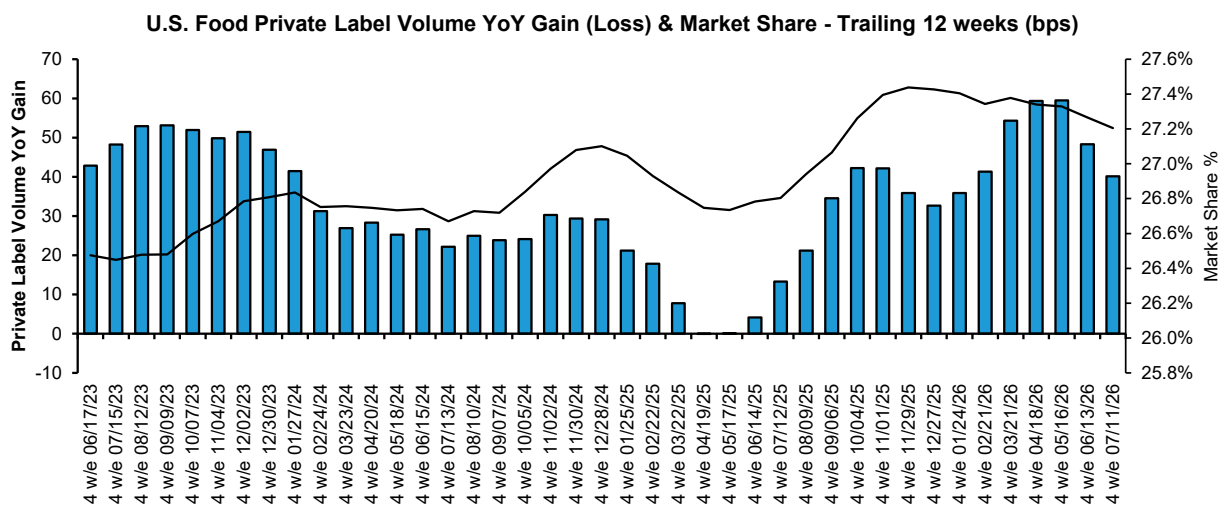
Source: NielsenIQ, Bernstein analysis

EXHIBIT 74: ... however discretionary categories have all dipped to negative growth in recent months



Source: NielsenIQ, Bernstein analysis

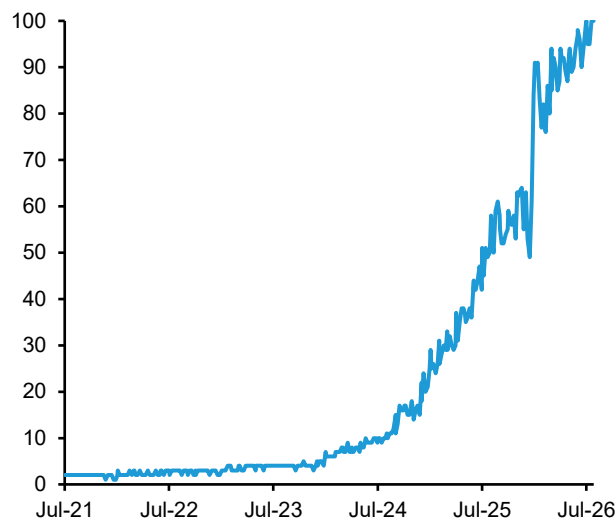
EXHIBIT 75: US food private label volume had returned to positive growth



Source: NielsenIQ, Bernstein analysis

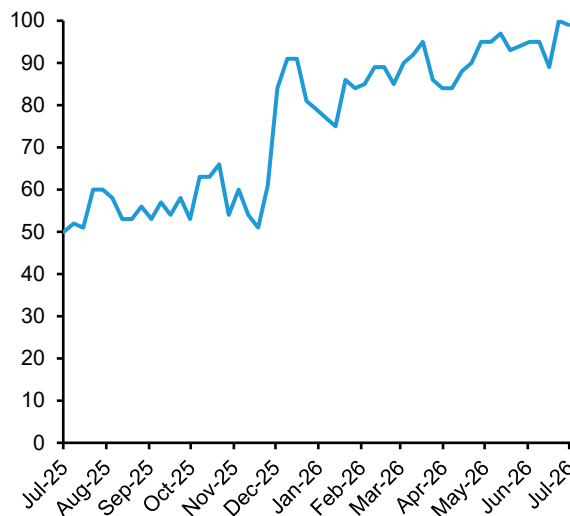
GLP-1 TRENDS

EXHIBIT 76: We've seen significant rise in search interest in "GLP" since the start of 2024, and then spike starting January 2026...

US Search Interest in "GLP" (5Y)

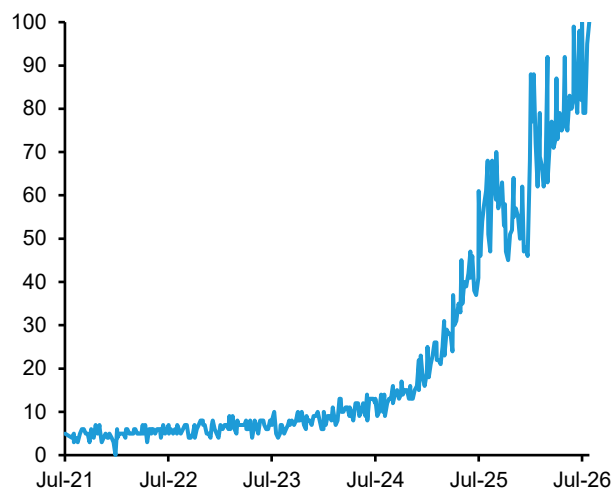
Source: Google Trends, Bernstein analysis

EXHIBIT 77: ...reaching the highest search rates of "GLP" this month, likely because potential users are considering the pill format that was approved by the FDA in December and released in January

US Search Interest in "GLP" (1Y)

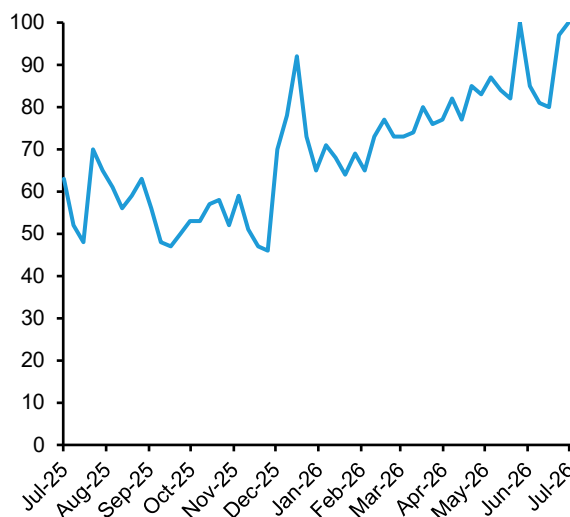
Source: Google Trends, Bernstein analysis

EXHIBIT 78: We see a similar trend over the last few years in Canada...

Canada Search Interest in "GLP" (5Y)

Source: Google Trends, Bernstein analysis

EXHIBIT 79: ... with a similar spike in recent months, as semaglutide went off patent and Health Canada also approved the GLP-1 pill in January

Canada Search Interest in "GLP" (1Y)

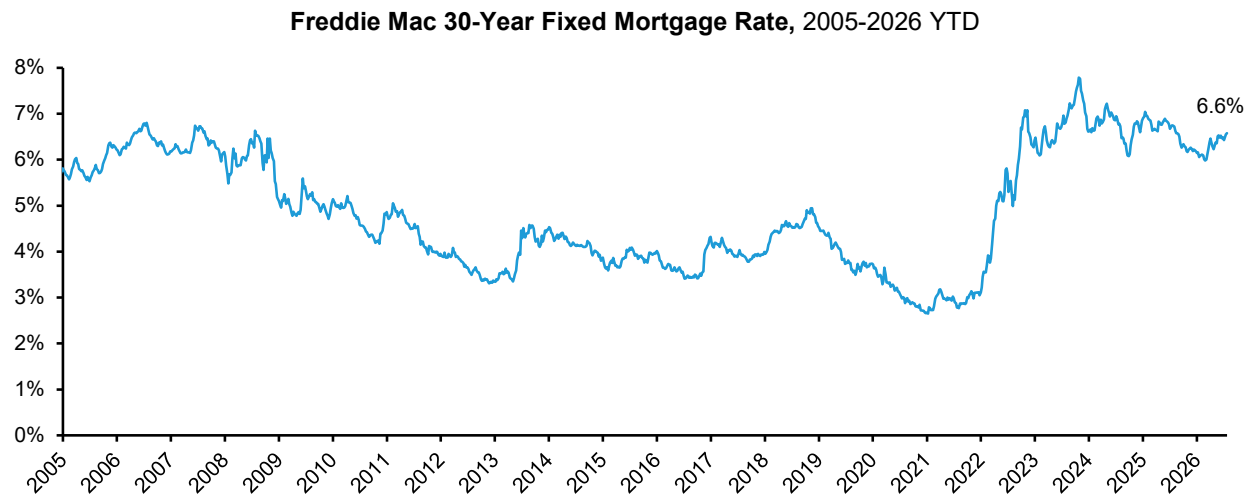
Source: Google Trends, Bernstein analysis

THE HOUSING MARKET

MORTGAGE RATE

EXHIBIT 80: **The 30-year mortgage rate remains above 6%.**

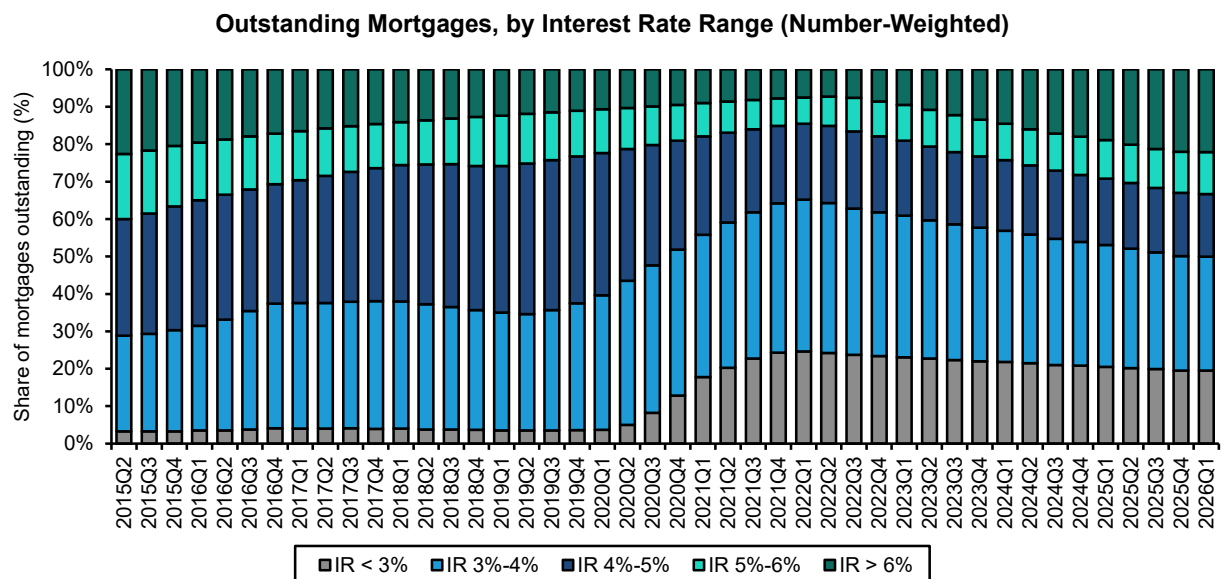
As of July 28, 2026



Source: Bloomberg, Freddie Mac, Bernstein analysis

EXHIBIT 81: **~80% mortgage holders are locked in at rates below 6%, and ~49% below 4%**

Interest rate at origination.

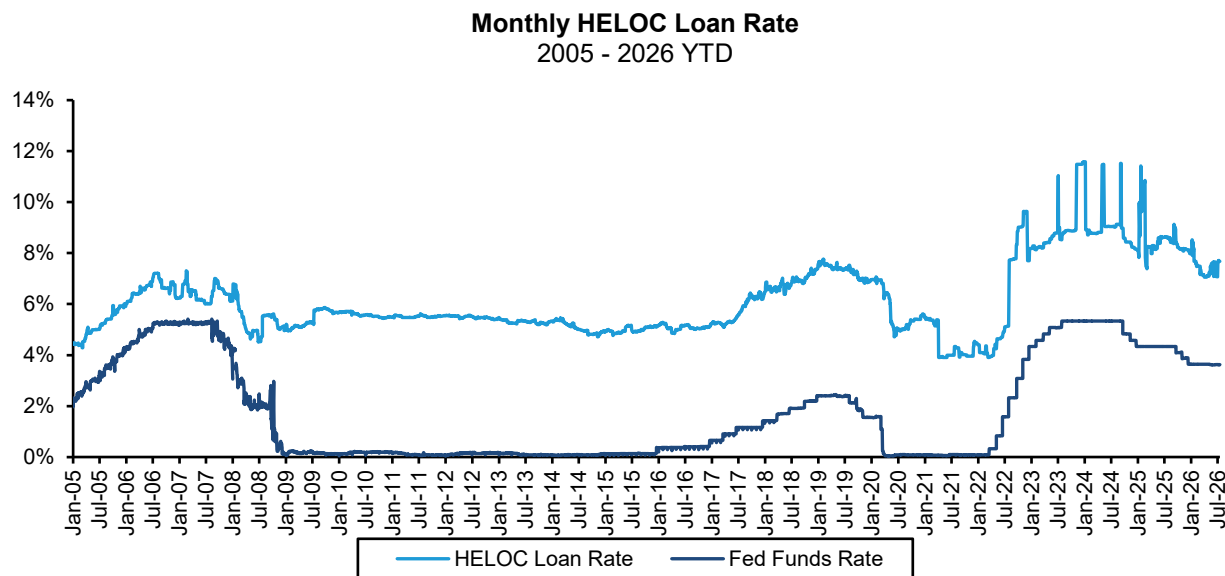


Source: Federal Housing Finance Agency (FHFA) - National Mortgage Database (NMDb®) Aggregate Mortgage Statistics, Bernstein analysis

MONTHLY HELOC RATE

EXHIBIT 82: **HELOC loan rates remain elevated, and there is risk to the upside along with potential Fed rate hikes.**

As of July 20, 2026

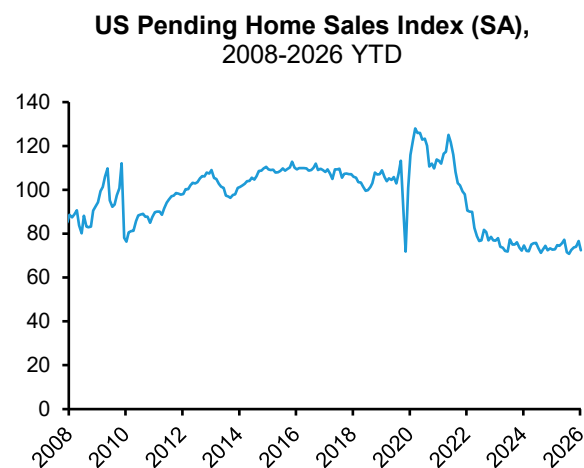


Source: Bloomberg, Bernstein analysis

HOUSING TURNOVER

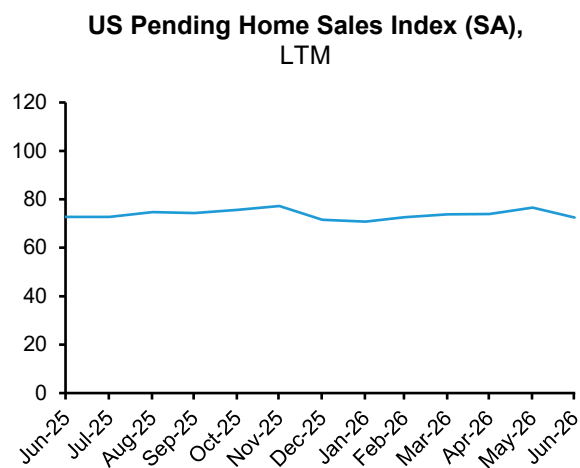
Pending Home Sales

EXHIBIT 83: **Pending home sales had declined notably in recent years...**



Source: Bloomberg, National Association of Realtors, Bernstein analysis

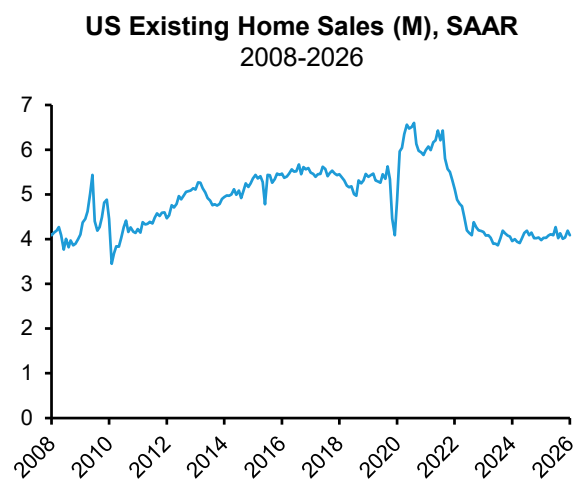
EXHIBIT 84: **...and remained subdued over the last 12 months.**



Source: Bloomberg, National Association of Realtors, Bernstein analysis

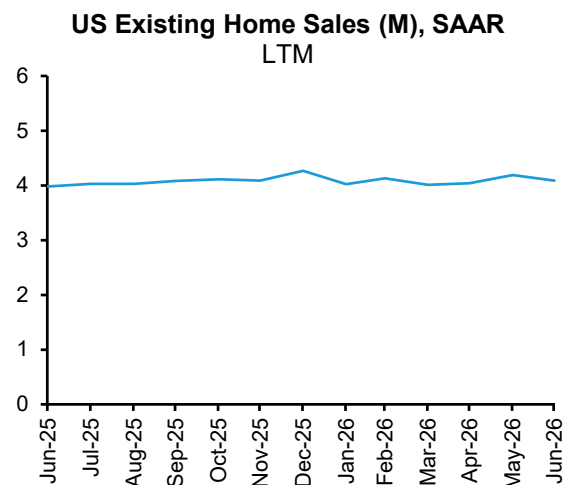
Existing Home Sales

EXHIBIT 85: **We've seen a similar decline in existing home sales...**



Source: Bloomberg, National Association of Realtors, Bernstein analysis

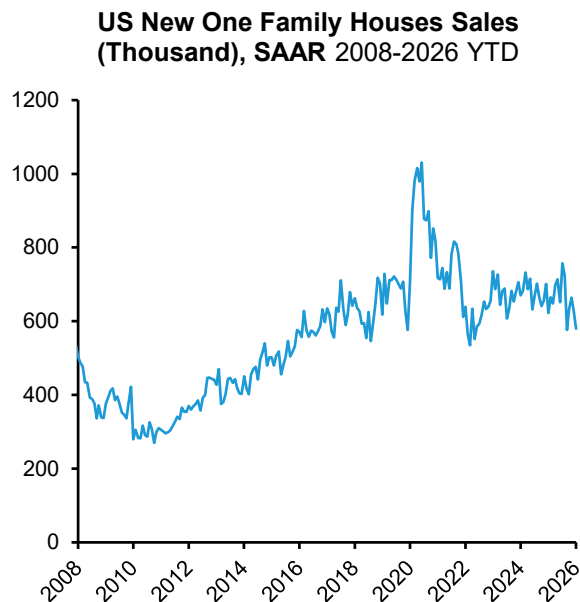
EXHIBIT 86: **...which remained subdued over the LTM.**



Source: Bloomberg, National Association of Realtors, Bernstein analysis

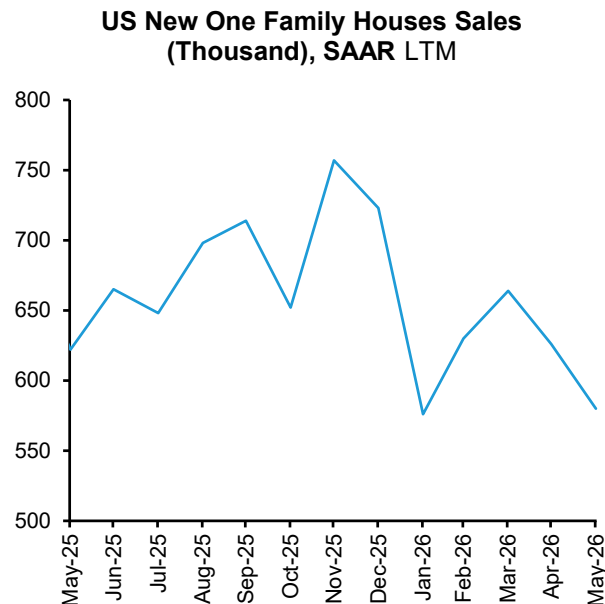
New Home Sales

EXHIBIT 87: **New home sales have inflected upwards in recent years...**



Source: National Association of Realtors, Bloomberg, Bernstein Analysis

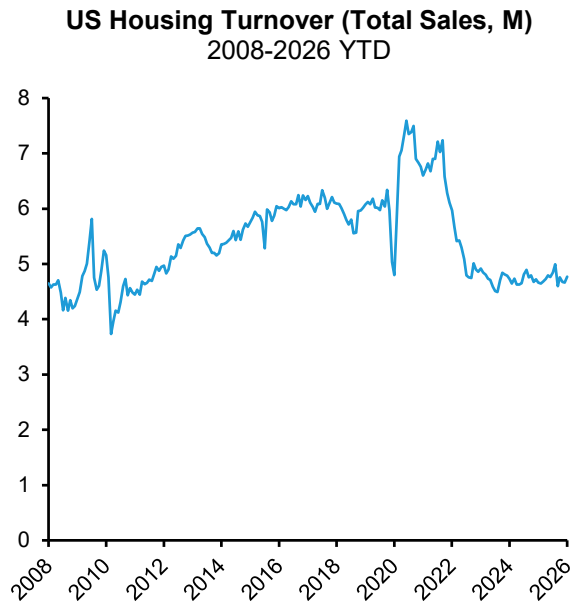
EXHIBIT 88: **...but the trend has been volatile and down over the LTM**



Source: National Association of Realtors, Bloomberg, Bernstein Analysis

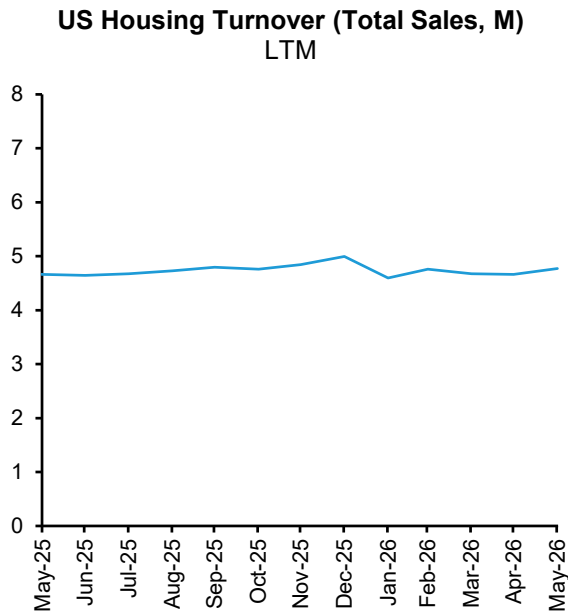
Total Turnover

EXHIBIT 89: Overall US housing turnover has trended down meaningfully vs. pre-COVID levels...



Source: Bloomberg Intelligence, Bernstein analysis

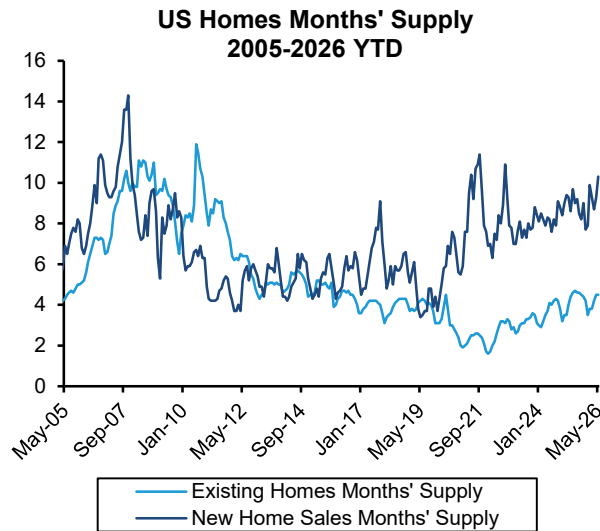
EXHIBIT 90: ...with no meaningful improvement in the LTM.



Source: Bloomberg Intelligence, Bernstein analysis

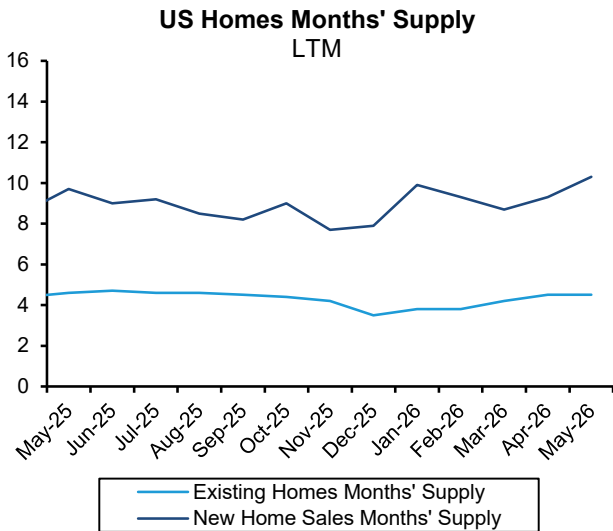
Months of Housing Supply

EXHIBIT 91: The US housing supply remains tight, with existing home supply well below the historical level.



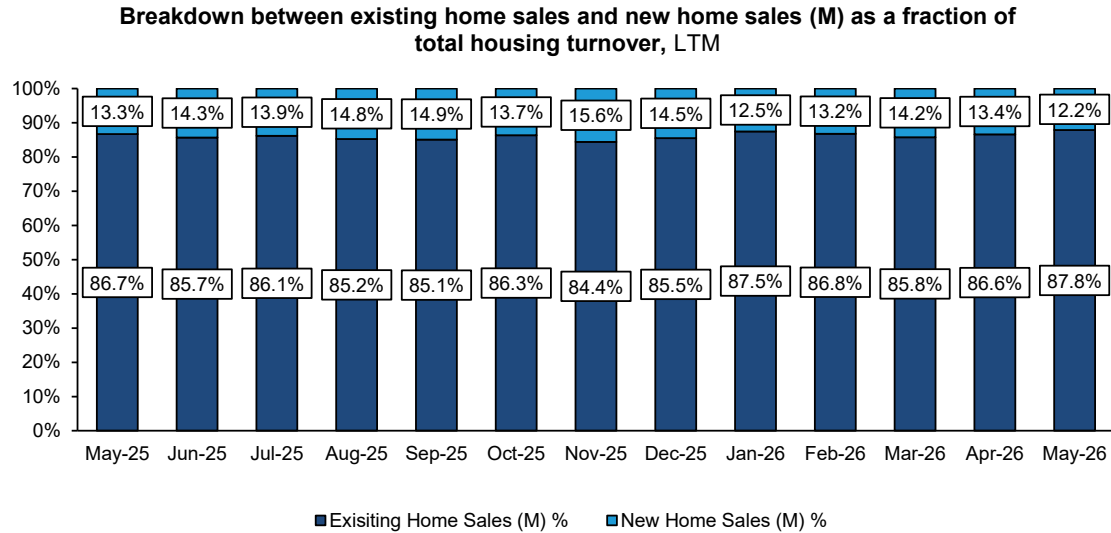
Source: Bloomberg, National Association of Realtors, Bernstein analysis

EXHIBIT 92: Existing home supply remains low over the LTM.



Source: Bloomberg, National Association of Realtors, Bernstein analysis

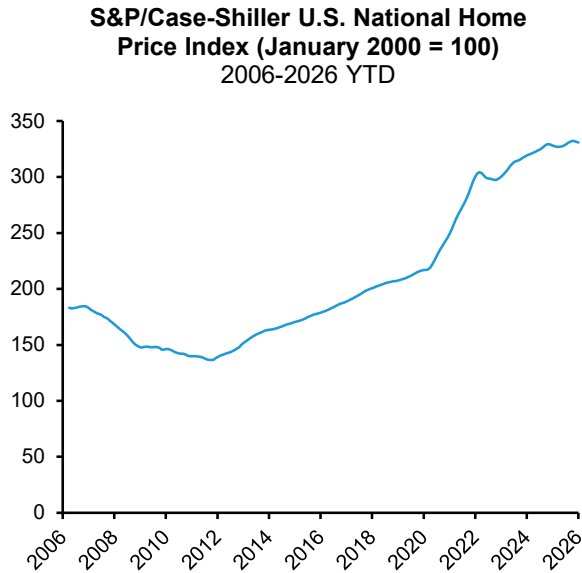
EXHIBIT 93: **New home supply remains as a small fraction of the total market.**



Source: Bloomberg, National Association of Realtors, Bernstein analysis

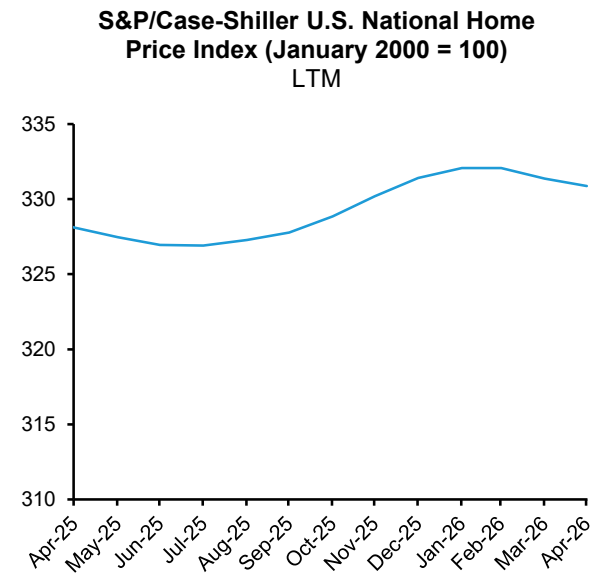
HOME PRICE

EXHIBIT 94: **The tight supply has supported home price...**



Source: Bloomberg, Bernstein analysis

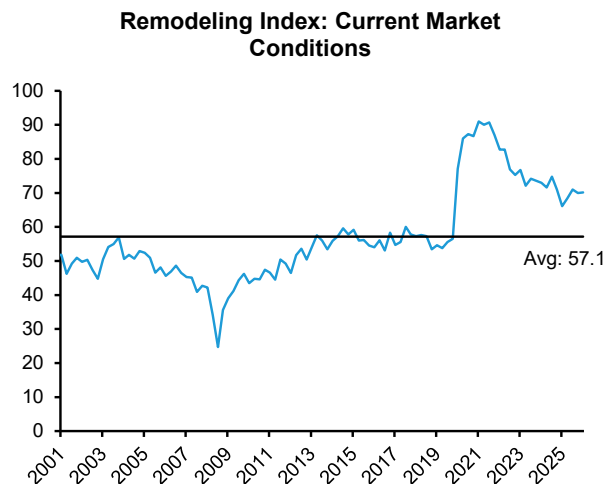
EXHIBIT 95: **...which has continued to increase over the LTM.**



Source: Bloomberg, Bernstein analysis

PRO DEMAND

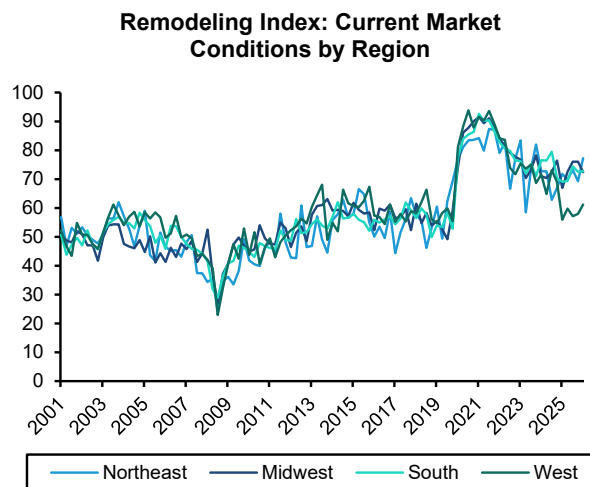
EXHIBIT 96: Pro assessment of current market conditions remains positive and elevated relative to historical levels, though the sentiment has declined rapidly in the last 3 years...



The RMI survey asks remodelers to rate 5 aspects of the remodeling market as "good," "fair" or "poor." Each question is measured from 0-100, where an index number of 50 indicates a higher share of remodelers view conditions as good rather than poor.

Source: National Association of Homebuilders, Bloomberg, Bernstein analysis

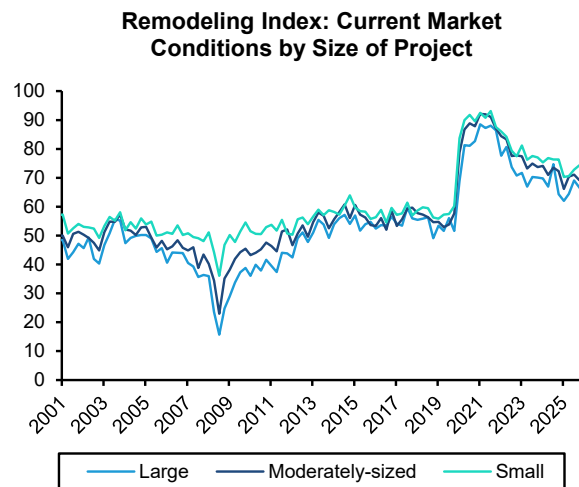
EXHIBIT 98: ...with sentiment in the West region lagging given slower activities on the back of higher costs.



The RMI survey asks remodelers to rate five aspects of the remodeling market as "good," "fair" or "poor." Each question is measured on a scale from 0 to 100, where an index number of 50 indicates a higher share of remodelers view conditions as good rather than poor.

Source: National Association of Homebuilders, Bloomberg, Bernstein analysis

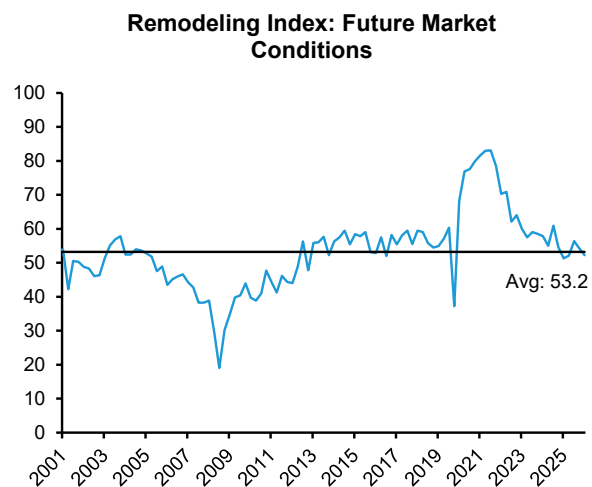
EXHIBIT 97: ... with Pros moderately more optimistic on current conditions around small projects than moderately-sized or large ones...



Large projects are defined as those costing \$50,000 or more, moderately-sized projects are those in the range of \$20,000 - \$50,000, and small projects are those under \$20,000.

Source: National Association of Homebuilders, Bloomberg, Bernstein analysis

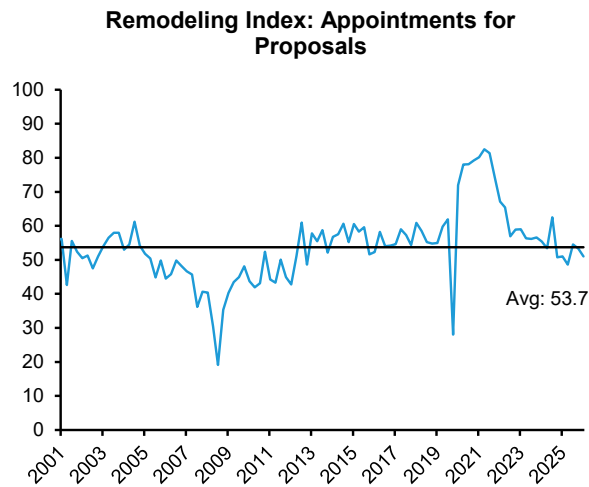
EXHIBIT 99: The forward outlook is less optimistic...



The RMI survey asks remodelers to rate five aspects of the remodeling market as "good," "fair" or "poor." Each question is measured on a scale from 0 to 100, where an index number of 50 indicates a higher share of remodelers view conditions as good rather than poor.

Source: National Association of Homebuilders, Bloomberg, Bernstein analysis

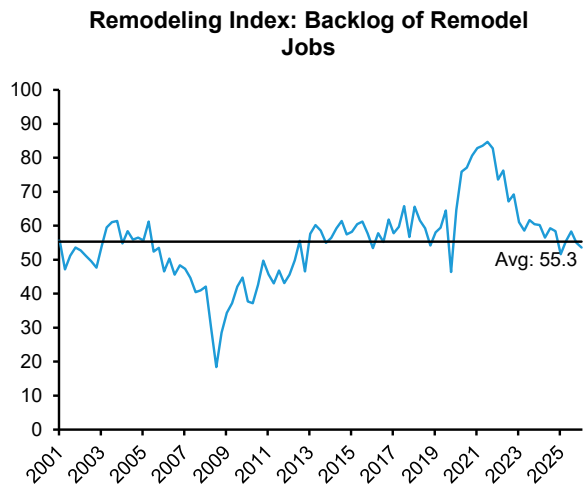
EXHIBIT 100: ...as appointments for proposals have slowed...



The RMI survey asks remodelers to rate five aspects of the remodeling market as "good," "fair" or "poor." Each question is measured on a scale from 0 to 100, where an index number of 50 indicates a higher share of remodelers view conditions as good rather

Source: National Association of Homebuilders, Bloomberg, Bernstein analysis

EXHIBIT 101: ... and backlogs have drawn down from their 2021 peak.



The RMI survey asks remodelers to rate five aspects of the remodeling market as "good," "fair" or "poor." Each question is measured on a scale from 0 to 100, where an index number of 50 indicates a higher share of remodelers view conditions as good rather than poor.

Source: National Association of Homebuilders, Bloomberg, Bernstein analysis

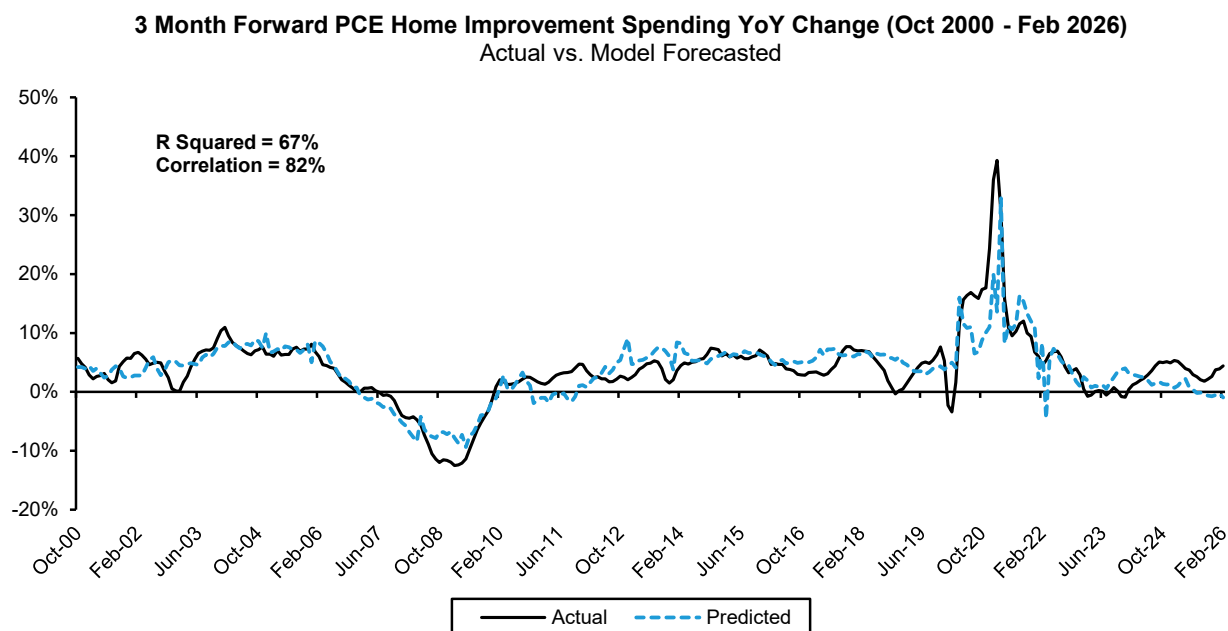
BERNSTEIN HOME IMPROVEMENT MACRO FORECAST

Going forward, we expect home improvement demand to remain subdued (in the 0% to +1% range) over the next 6-9 months based on our proprietary macro forecasting model. We use the PCE furnishings and durable household equipment sales as a proxy for historical home improvement spending, but note that it is not representative of all home improvement sales. In fact, spending in this PCE category has been growing at LSD-MSD% in recent months on the back of inflation, which is not representative of the much more muted sales growth in the home improve sector.

We leverage four macro indicators to forecast changes in home improvement spending on a 3-month forward basis:

1. YoY change in home price (seasonally adjusted), no lag;
2. YoY change in real disposable income (seasonally adjusted), no lag;
3. 30-year mortgage rate, with a 9-month lag, and
4. YoY change in new and existing home sales, or housing turnover (seasonally adjusted), with a 4-month lag.

EXHIBIT 102: Our proprietary home improvement forecast model has an R-squared of 67% and an 82% correlation with 3-month forward YoY growth in home improvement spending since 2000.



Regression variables are as follows:

PCE Home Improvement Spend 3M Forward: seasonally adjusted annual rate of US PCE furnishings and durable household equipment in billions

30Y Mortgage Rate (Actual)

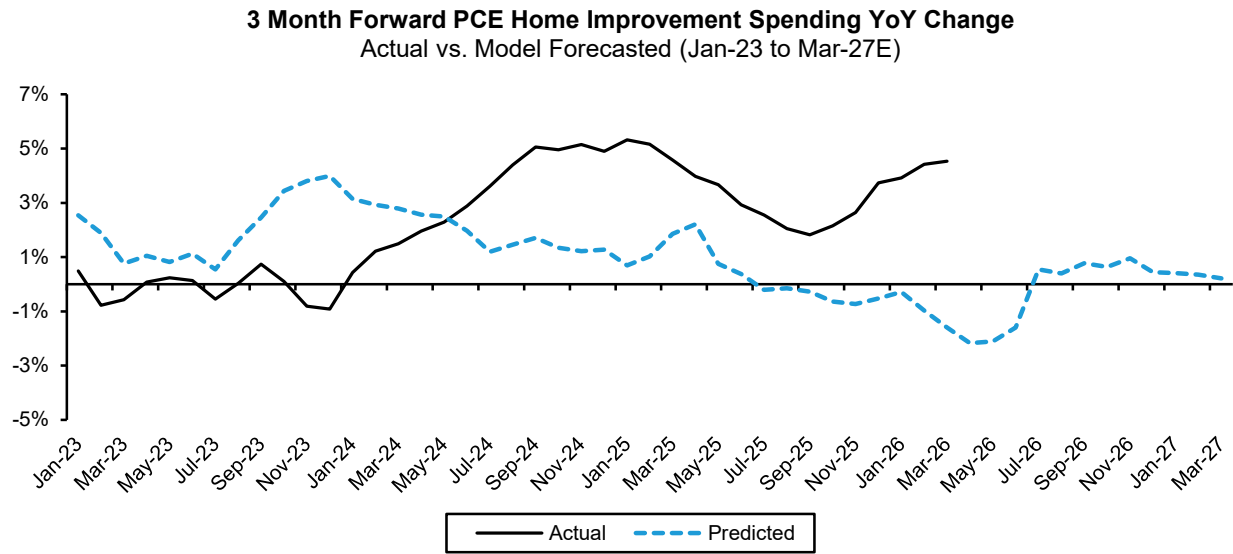
Real Disposable Income: US disposable personal income chained to 2017 dollars, seasonally adjusted in billions

Housing Turnover: seasonally adjusted annual rate of Total Home Sales calculated by adding the New Home Sales plus Existing Home Sales during the period

Home Price: Price index that tracks the value of single-family housing in the US; pegged to Jan 2000

Source: Bloomberg, BEA, Freddie Mac, S&P/Case-Shiller, Bernstein analysis and estimates

EXHIBIT 103: **We expect growth in home improvement spending to remain subdued over the next 6-9 months.**



Source: Bloomberg, BEA, Freddie Mac, S&P/Case-Shiller, NY Fed, Bernstein analysis and estimates

DISCLOSURE APPENDIX

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The Bernstein brand has three categories of ratings:

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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

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